

Regulatory Dualism as a Development Strategy: Corporate Reform in Brazil, the U.S., and the EU

RONALD J. GILSON

Stanford Law School; Columbia Law School

HENRY HANSMANN

Yale Law School; European Corporate Governance Institute (ECGI)

MARIANA PARGENDLER

Yale Law School

Stanford University Law School

Stanford Law and Economics Olin Working Paper No. 390

Columbia Law School

Columbia Law and Economics Working Paper No. 368

Yale Law School

Yale Law & Economics Research Paper No. 399

Stanford University

**Rock Center for Corporate Governance at Stanford University
Working Paper No. 80**

April 2010

ECGI Working Paper Series in Law

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Working Paper N° 149/2010

April 2010

Ronald J. Gilson
Henry Hansmann
Mariana Pargendler

The authors are extremely grateful for helpful comments on earlier versions of this article by participants at the Comparative Law and Economics Forum in Singapore, the Brazilian Law and Economics Association meeting in São Paulo, and workshops at Brooklyn, Harvard, Stanford, Texas, and Yale law schools, and for individual comments by Andre Bernini, William Bratton, Stephen Choi, Jens Dammann, Kevin Davis, Luca Enriques, William Eskridge, Joao Krepel, Jan Lasak, Alfredo Macchiati, Curtis Milhaupt, Katharina Pistor, Mark Ramseyer, Edward Rock, Peter Schuck, Paul Stephan, Juliana Vieira, and Charles Whitehead.

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Abstract

Countries pursuing economic development confront a fundamental obstacle. Reforms that increase the size of the overall pie are blocked by powerful interests that are threatened by the growth-inducing changes. This problem is conspicuous in efforts to create effective capital markets to support economic growth. Controlling owners and managers of established firms successfully oppose corporate governance reforms that would improve investor protection and promote capital market development. In this article, we examine the promise of *regulatory dualism* as a strategy to diffuse the tension between future growth and the current distribution of wealth and power. Regulatory dualism seeks to mitigate political opposition to reforms by permitting the existing business elite to be governed by the old regime, while allowing other firms to be regulated by a new parallel regime that is more efficient. Regulatory dualism goes beyond similar but simpler strategies, such as grandfathering and statutory menus, by incorporating a dynamic element that is key to its effectiveness, but that requires a sophisticated approach to implementation.

A paradigmatic example of regulatory dualism is offered by Brazil's "New Market" (*Novo Mercado*), a voluntary premium segment within the São Paulo Stock Exchange that allows companies to commit credibly to significant protection of minority shareholders without imposing reform on companies controlled by the established elite. Yet regulatory dualism as a strategy for capital market reform is not unique to Brazil, nor is it suited just to developing countries. The long-standing U.S. approach to state-level corporate chartering is arguably better understood as a form of regulatory dualism than – as is the custom – as a form of regulatory competition, and the same can be said of EU corporate law post-*Centros*. The dramatic failure of Germany's *Neuer Markt* illustrates some of the pitfalls of regulatory dualism. If thoughtfully deployed, however, regulatory dualism holds substantial promise in overcoming political barriers to reform, not just of corporate governance and capital markets, but of other economic institutions as well.

Keywords: Corporate Governance, Regulatory Dualism, Capital Market Reform

JEL Classifications: G32, G38, K22, N26, O16

Ronald J. Gilson
Columbia Law School
435 West 116th Street
New York, NY 10027
United States
phone: 212-854-1655, fax: 212-854-7946
e-mail: rgilson@leland.stanford.edu

Henry Hansmann
Yale Law School
P.O. Box 208215
New Haven, CT 06520-8215
United States
phone: 203-432-4966
e-mail: henry.hansmann@yale.edu

Mariana Pargendler
Yale Law School
New Haven, CT 06520
United States
e-mail: mariana.pargendler@yale.edu

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Ronald J. Gilson,^{*} Henry Hansmann,^{**} and Mariana Pargendler^{***}

March 2010

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^{*} Meyers Professor of Law and Business, Stanford Law School; Stern Professor of Law and Business, Columbia Law School; European Corporate Governance Institute.

^{**} Lines Professor of Law, Yale Law School; European Corporate Governance Institute.

^{***} JSD candidate, Yale Law School.

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I. Introduction

Countries pursuing economic development confront a fundamental obstacle. Reforms that, by stimulating growth, will increase the size of the overall pie are blocked by groups that, having achieved economic success and therefore political influence under the existing regime, believe that their positions will be threatened by the growth-inducing reforms.

This problem is conspicuous in developing countries' efforts to establish effective capital markets. Both logic and an increasing body of empirical evidence suggest that economic growth receives strong stimulus from an effective capital market,¹ which in turn requires a substantial and effective legal infrastructure to protect the interests of minority shareholders in publicly traded business corporations.²

Yet the development of effective shareholder protection to support capital market development commonly threatens already-established firms and their controlling owners.

¹ A large body of literature has sought to demonstrate the positive influence of financial development on overall economic growth. See, e.g., Robert G. King & Ross Levine, *Finance and Growth: Schumpeter Might Be Right*, 108 QUART. J. ECON. 717 (1993) (finding that indicators of financial development are strongly correlated with economic growth, and that predetermined components of financial development indicators significantly predict future growth rates); Ross Levine & Sara Zervos, *Stock Markets, Banks, and Economic Growth*, 88 AM. ECON. REV. 537 (1998) (finding a positive correlation between stock market liquidity and banking development and the contemporaneous and future rates of economic growth); Raghuram G. Rajan & Luigi Zingales, *Financial Dependence and Growth*, 88 AM. ECON. REV. 559 (1998) (finding that industrial sectors which are more dependent on external finance grow disproportionately faster in countries with well-developed financial markets); Valentina Bruno & Stijn Classens, *Corporate Governance and Regulation: Can There be Too Much of a Good Thing?*, WP 4140, World Bank Pol. Res. (2007), available at <http://ssrn.com/abstract=956329> (companies with good corporate governance rely more heavily on external finance).

² Rafael La Porta, Florencio Lopez-de-Silanes, Andrei Shleifer and Robert Vishny, in particular, have sought to make the case that, as an empirical matter, strong shareholder protection laws are an important prerequisite for vibrant capital markets and, perhaps, overall economic development. Representative examples of a prominent series of articles are La Porta et al., *Legal Determinants of External Finance*, 52 J. FIN. 1131 (1997); La Porta et al., *Law and Finance*, 106 J. POL. ECON. 1113 (1998); La Porta et al., *Investor Protection and Corporate Governance*, 58 J. FIN. ECON. 3 (2000). Admittedly, the strength of these empirical results has been questioned. See, e.g., Holger Spamann, *On the Insignificance and/or Endogeneity of La Porta et al.'s 'Anti-Director Index' under Consistent Coding* (2006), available at http://papers.ssrn.com/sol3/papers.cfm?abstract_id=894301.

This literature also expresses strong views about the causes of varying levels of shareholder protection in cross-country comparisons (common law versus civil law origin of the legal regime), and – to a lesser extent – about the detailed content of such reform (the rights in their “anti-director rights index”). These and other law-and-finance claims are not relevant to the problem we address here.

A growing literature has challenged the claim that shareholder protection must come exclusively through legal means, largely by showing that in a number of countries public ownership preceded legal protection – that is, law was demand driven rather than an instrument to develop an ownership structure. See, e.g., Julian Franks, Colin Mayer & Hannes Wagner, *The Origins of the German Corporation – Finance, Ownership and Control*, 10 REV. FIN. 537 (2006); Brian R. Cheffins, *History and the Global Corporate Governance Revolution: The U.K. Perspective*, 43 BUS. HIST. 87, 100 (2001); Franklin Allen & Jun Qian, *Comparing Legal and Alternative Institutions in Finance and Commerce* (2008), available at http://papers.ssrn.com/sol3/papers.cfm?abstract_id=1136168 (on China and India). These results are not inconsistent with the claim that a strong legal infrastructure is helpful, and ultimately perhaps essential, to the creation of robust capital markets.

First, it shifts both wealth and corporate power (and ultimately political power as well) away from the controlling owners and toward public shareholders. In particular, by reducing self-dealing, effective minority protection lowers the value of controlling shares. And by constraining control, it also opens governance of the corporation to outside influence. Second, effective shareholder protection facilitates the financing of potential competitors, since new firms generally need outside equity financing more than do well-established firms. These threats give the controlling owners and managers of established firms a powerful incentive to resist expansion of the legal protection afforded shareholders. And, because those owners and managers generally have strong influence over the political process, they are frequently in a position to make their resistance to reform effective.

We will call this resistance of the established economic and political elite to growth-promoting reforms the *Olson problem*, after the economist who has described it most eloquently and insightfully.³ The question, then, is what can be done to overcome the Olson problem – that is, to diffuse the tension between future growth and the current distribution of wealth and power.

Olson himself pessimistically suggested the intractability of the tension; in his view, solving the Olson problem may require massive social upheaval, such as revolution or war, which destroys the existing establishment.⁴ More optimistic approaches stop short of destroying the elite and instead mitigate their opposition by protecting their interests from the growth-inducing reforms.⁵ In this article, we examine one approach of the latter type, which we label *regulatory dualism*.

Regulatory dualism seeks to avoid, or at least mitigate, the Olson problem by permitting the existing business elite to be governed by the pre-reform regime, while

³ MANCUR OLSON, *THE RISE AND DECLINE OF NATIONS* (1982). Twenty five years after the publication of *The Rise and Decline of Nations*, the balance of more than fifty works attempting to test Olson's theory of institutional sclerosis was found to be positive. See Jac C. Heckelman, *Explaining the Rain: The Rise and Decline of Nations after 25 Years*, 74 SOUTHERN ECON. J. 18 (2007), for a review of this literature. The political economy of capital market development, in particular, is interpreted in Olson-like terms by Raghuram Rajan & Luigi Zingales, *The Great Reversals: The Politics of Financial Development in the Twentieth Century*, 69 J. FIN. ECON. 5 (2003).

Olson-type resistance to capital market development can be seen with particular clarity in the historical experience of England, the first industrial nation. England had arguably achieved sufficient legal and economic sophistication to permit incorporation as a right and broad public markets for corporate stock by the early eighteenth century. It was, however, not until the second half of the nineteenth century that this level of development was achieved. The requisite legal infrastructure was effectively blocked by existing corporations, which sought to defend from well-capitalized competition the effective monopoly conferred by the charter for which they had commonly paid political bribes, and by small unincorporated businesses, which also wished to avoid the strong competition that might be offered them by a publicly-traded corporation with its access to large amounts of capital. See RON HARRIS, *INDUSTRIALIZING ENGLISH LAW: ENTREPRENEURSHIP AND BUSINESS ORGANIZATION, 1720–1844* (2000). See also Franks et. al., *supra* note 2, and Cheffins, *supra* note 2, who argue that in the U.K. reputation allowed local elites to raise public capital, which made public financing available only to the existing elite.

⁴ OLSON, *supra* note 5.

⁵ In conceptual terms, a strategy of protecting elites so that they will not block reform is similar to Acemoglu and Robinson's development of constrained democracy as a means to persuade the elite not to resort to repression to maintain political and therefore economic power. See DARON ACEMOGLU & JAMES A. ROBINSON, *ECONOMIC ORIGINS OF DICTATORSHIP AND DEMOCRACY* (2006).

pursuing growth by allowing other businesses to be governed by a reformed regime. Put in terms of capital market and shareholder protection, regulatory dualism establishes a new and more rigorous shareholder protection regime, operating parallel to the existing one, that is open to any new or existing firm that wishes to make use of it. The maintenance of the relationship between controlling and minority shareholders in existing firms insulates the interests of established elites, while more effective shareholder protection makes public financing available to the entrepreneurial sector, thereby expanding the capital market's capacity to support economic growth.⁶

To be sure, regulatory dualism is not without costs to the elites. However, the two more extreme alternatives, comprehensive reform and no reform, also impose costs on the elite. Comprehensive reform brings a direct transfer of corporate wealth and power to public shareholders, the improvement of financing options available to competitors, and – as an ultimate consequence – reduction in the political clout of the currently controlling owners vis-à-vis outside investors and new businesses. On the other hand, seeking to block all reform can be expensive, not just directly but by upsetting the elites' relationship with previous allies, such as government officials and stock exchange owners. Worse, extreme intransigence toward reform could lead to general economic decline harmful to all classes, and might produce a popular backlash that seriously damages the economic and political position of the current elite.

Given the alternatives, regulatory dualism can provide an attractive compromise from the elites' standpoint, since it avoids the costs of blocking all reform, dilutes the costs of sweeping legal changes, and reduces the political pressure for more comprehensive reform. A dual regulatory regime preserves the legal entitlements of incumbents, at least initially, thus avoiding the immediate economic and political costs associated with stronger minority investor rights at the firm level. The immediate economic and political costs associated with a dual regulatory regime are principally those stemming from increased competition. But if the new firms are expected to concentrate in different industries than the established ones – the “new” as opposed to the “traditional” economy – the slope of the incumbents' decline may be gentle enough to allow them to move their wealth out of the old businesses in time. The result is that, even if the elites ultimately lose their economic and political dominance, they can still protect most of their wealth, perhaps permanently.⁷

Our particular focus here is on dual regulatory regimes as a solution to the Olson problem. Multiple regulatory regimes can play other roles as well. In particular, it is

⁶ Bebchuk and Neeman have modeled the impact of different interest groups on the degree of investor protection. They argue that the political influence of insiders of publicly traded firms leads to an inefficient level of investor protection, a result that is only partially attenuated by countervailing pressures by entrepreneurs who want to take new firms public. Lucian Bebchuk & Zvika Neeman, *Investor Protection and Interest Group Politics*, REV. FIN. STUD. (2009). Regulatory dualism can mitigate these political economy barriers to an efficient level of investor protection by isolating the legal regimes of incumbents from those of new firms seeking to raise equity capital.

⁷ The decline may not be linear. The success of the “new” economy and economic growth generally may act as a catalyst for further reform, a possibility that the elite presumably will incorporate in its strategic calculus. As should already be apparent, the outcome of that calculus will depend heavily on local factors; while the structure of the analysis is general, the parameter values will depend on a country's particular circumstances. See Part V(D) *infra*.

helpful to distinguish what we term *regulatory dualism* from both *regulatory diversification* and *regulatory competition*. For clarity, we offer characterizations here – in sharply delineated, ideal type terms – of each of these three rationales for maintaining multiple regulatory regimes.

Regulatory Diversification. The actors being regulated are not homogeneous in their needs for regulation. Consequently, it is efficient to maintain two or more parallel forms of regulation, with each form designed to deal with the characteristics of a distinct set of actors.

Regulatory Competition. The actors being regulated are relatively homogeneous, with the consequence that a single regulatory regime would, in principle, be most efficient. But – perhaps owing to laxity, ignorance, or ideology – a single agency with a monopoly on regulatory authority cannot be trusted to adopt the efficient pattern of regulation. The regulated actors have an incentive to be governed by an efficient regulatory regime – for example, so that they can attract patrons. Creating multiple regulators with overlapping jurisdictions, so that the regulated actors can choose the regulatory regime to which they will be subject, puts the various regulators in competition with each other, as they seek to attract, or not to lose, actors subject to their system of regulation.

Regulatory Dualism. As with regulatory competition, a single homogeneous regulatory regime for all actors would be most efficient. The preexisting system of regulation – the *established regime* – has however been captured by a subset of the actors that it regulates and inefficiently permits those actors to pursue their private interests. A second, more efficient system of regulation – the *reformist regime* – is created, and is made available to all actors. Meanwhile, the established regime is maintained and is also made available to all actors, whether they have previously been governed by that regime or not. Maintaining the established regime reduces the incentive, for those who benefit from that regime, to oppose creation of the reformist regime.⁸

An important difference between regulatory competition and regulatory dualism – in the ideal types we have defined here – is that regulatory competition causes the various regulatory regimes to converge toward the efficient regime, while under regulatory dualism the alternative regulatory regimes remain divergent. Indeed, under regulatory dualism, the introduction of the reformist regime may actually cause the established regime to become even *less* efficient than it would be if it were the sole regime, since the reformist regime draws off some of the constituency for reform of the established regime. Thus, in contrast to regulatory competition, regulatory dualism creates a dynamic in which the choice between two regimes of differing efficiency actually *reduces* rather than *increases* pressure to reform the less efficient (established) regime. Put in Albert

⁸ We might define a fourth regulatory strategy – *regulatory experimentation* – that is effectively a combination of regulatory diversification and regulatory competition. In regulatory experimentation, it is unclear which system of regulation is most efficient, or perhaps even whether efficiency calls for one system or multiple systems. For this reason, alternative experimental systems of regulation are created, either in different jurisdictions or in a single jurisdiction, and then compared to see which function best, with an eye to replicating, ultimately, the best system(s). The Brandeisian notion of federated states as “laboratories of democracy” reflects this approach to regulation.

Hirschman's famous terms⁹, the opportunity to exit to the reformist regime softens the voice calling for reform of the established regime. But, paradoxically, that is precisely the result desired both by those who choose the established regime and those who choose the reformist regime.

Regulatory diversification, regulatory competition, and regulatory dualism are not mutually exclusive. All three can be present to some degree when actors are given a choice concerning the regulatory regime that will govern them. Perhaps for this reason, the extensive literature that deals with what is loosely termed "regulatory competition" – including the conspicuous subset of that literature that focuses on corporate chartering – does not always deal just with regulatory competition of the ideal type we define above, but also or instead deals with phenomena that are better described as regulatory diversification or regulatory dualism.

Our principal objective here is to identify and analyze regulatory dualism as a phenomenon distinct from – and arguably as or more important than – regulatory competition. We introduce the concept of regulatory dualism by examining a recent and apparently successful Brazilian effort directed at capital market development. At the core of the Brazilian approach is the creation, within the São Paulo Stock Exchange, of a "New Market" (*Novo Mercado*) for publicly traded securities that exists parallel to the pre-existing exchange institutions and regulations. The Novo Mercado, whose listing standards offer far more protection to noncontrolling shareholders than does the old regime, is open, on a voluntary basis, to both new and existing firms that are prepared to comply with its requirements. Meanwhile, the old regime remains available to both old and new firms as well.

Brazil's Novo Mercado is a paradigm example of regulatory dualism. It is not, however, the only example. Germany, for instance, tried a similar approach in the late 1990s, only to abandon it as a dramatic failure a few years later. Corporate chartering in the United States, long analyzed as an example of regulatory competition, also has strong elements of regulatory dualism. In the U.S., controlling shareholders and managers desiring a regulatory regime that will help insulate them from market forces can incorporate in their home state, where they can exercise political influence, while firms for which access to the capital markets on favorable terms is more important can instead incorporate in Delaware, where no class of corporate stakeholders – controlling or noncontrolling shareholders, managers, employees, or consumers – has significant direct influence on the political process. Thus, contrary to the conventional characterization, Delaware corporate law might most appropriately be seen as complementary to, rather than as competitive with, the corporate law offered in other states. Were it not for the protectionist corporate law offered by other states, Delaware's nationally-available market-friendly corporate law might not be politically viable, and vice versa. The European Union's recent steps toward permitting greater choice of jurisdiction for incorporation also has much of the character of regulatory dualism, leaving established firms to be governed by the pre-existing local corporate and capital markets law shaped by the political power structure of their state of original incorporation, while permitting

⁹ ALBERT HIRSCHMAN, EXIT, VOICE, AND LOYALTY: RESPONSES TO DECLINE IN FIRMS, ORGANIZATIONS, AND STATES (1970).

new firms to seek out an alternative regulatory regime. We examine below each of these efforts at a strategy of regulatory dualism.

Our exposition proceeds as follows: Part II describes Brazil's recent efforts to reform its equity markets, after decades of political paralysis, through an alternative New Market created within the established stock exchange. Part III describes other efforts at regulatory dualism, including the premium stock exchange segment created in Germany with the Frankfurt "Neuer Markt," as well as the systems of corporate chartering adopted in the U.S. and, much more recently, in the EU. Part IV compares regulatory dualism with related regulatory strategies such as grandfathering, statutory menus, and default rules. Part V explores alternative sources for the reformist regime, from private regulatory organizations to independent foreign states. Part VI discusses regulatory dualism in applications other than corporate law. Part VII concludes.

II. Brazil's Novo Mercado

A. Brazil before the Novo Mercado

We begin by focusing on Brazil as a prototypical example of regulatory dualism. As we shall see, both the need for reform and the Olson problem were particularly acute in Brazil. Indeed, the Novo Mercado experiment was deliberately designed to circumvent the political clout of established firms in obstructing legislative reform that was badly needed to improve minority investor protection.

During most of its history, Brazil's capital markets were largely underdeveloped and, therefore, unavailable as a stable source of debt and equity financing for companies looking to pursue investment opportunities.¹⁰ As a result, Brazilian corporations relied largely on retained earnings, government and bank loans and, for a handful of large conglomerates, extra-jurisdictional financing in foreign currency.¹¹ Smaller firms were therefore capital constrained, having to rely on bank loans at high interest rates and short maturity terms as their principal sources of financing. Brazilian economists and policymakers had long argued that this scarcity of long-term capital took a substantial toll on development.¹²

¹⁰ Between 1890 and 1914, however, Brazil experienced a period of fairly developed capital markets. Before World War I, Brazil's stock markets were the second largest in Latin America and had an estimated 480 listed companies, the largest number in Latin America. Both the number of publicly traded firms as a percentage of the population and the ratio of bond issues to GDP were higher in 1913 than they are today. See Aldo Musacchio, *Law Versus Contracts: Shareholder Protections and Ownership Concentration in Brazil, 1890-1950*, 82 BUS. HIST. REV. 445, 449 (2008), and ALDO MUSACCHIO, *EXPERIMENTS IN FINANCIAL DEMOCRACY* (2009).

¹¹ See, e.g., Pêrsio Arida et al., *Credit, Interest, and Jurisdictional Uncertainty: Conjectures on the Case of Brazil*, in *INFLATION TARGETING, DEBT AND THE BRAZILIAN EXPERIENCE* (Francesco Giavazzi et al. eds., 2005) (describing the absence of a long-term domestic credit market in Brazil); MB Associados, *Desafios e Oportunidades para o Mercado de Capitais Brasileiro* (2000), available at www.bmfbovespa.com.br (noting the historical insignificance of Brazilian capital markets and the prominent role of governmental loans as a source of long-term financing).

¹² See, e.g., JOSÉ ANTONIO PIMENTA BUENO, *DIREITO PÚBLICO BRASILEIRO E ANÁLISE DA CONSTITUIÇÃO DO IMPÉRIO* (1857) (arguing that governmental restrictions to incorporations in Brazil were delaying the country's development); MÁRIO HENRIQUE SIMONSEN, *BRASIL 2002* 118 (1972) (attributing the

Brazil's failure to develop a sustainable capital market was not due to ignorance about the relation between finance and economic development. The creation of indigenous financial markets to spur Brazil's industrial and economic growth has periodically emerged as a central political issue since the mid-nineteenth century. Nonetheless, consistent with Olson's predictions, a close look at the country's history reveals that legal reforms attempting to create the preconditions for capital market development invariably faced significant resistance from established interest groups that benefited from the status quo.¹³

At least since the mid-twentieth century, scholars and policymakers have identified the lack of adequate minority investor protection as a major hurdle to capital market development in Brazil.¹⁴ Nevertheless, when the military government undertook to promote capital market development in the 1960s, it adopted an "all-carrot-no-stick" strategy that granted generous tax incentives for companies to go public without implementing substantive legal reforms. Scholars at the time hoped that, despite Brazil's apparent deficiencies in protecting shareholders and creditors, institutional reform could follow, rather than precede, the growth in the country's capital markets.¹⁵

The incentives policies encompassed tax cuts for both publicly traded companies and their investors, as well as a program allowing taxpayers to allocate part of their federal income tax to make personal investments in listed firms.¹⁶ The latter program made the acquisition of stock in publicly-traded firms effectively free from the perspective of investors, since the price was paid by the federal government. These investments were made through shares in special mutual funds (called "157 Funds," after Decree 157 of 1967, which created the program), and their proceeds were typically

disadvantage of private Brazilian firms vis-à-vis their state-owned and foreign counterparts to a lack of financing alternatives); SOLUÇÕES PARA O DESENVOLVIMENTO DO MERCADO DE CAPITAIS BRASILEIRO (Carlos Antonio Rocca ed., 2001) (citing the lack of financing alternatives to the private sector as one of the main obstacles to the international competitiveness of the Brazilian economy).

¹³ For a political economy account of corporate law reforms in Brazil since the 19th century, see Mariana Pargendler, *Family, Friends and the State: A History of Corporate Law and Governance in Brazil* (2009) (unpublished manuscript, on file with the authors).

¹⁴ See, e.g., FUNDAÇÃO GETÚLIO VARGAS, A MISSÃO COOKE NO BRASIL 91 (1949) (proposing that Brazil adopt a system of shareholder protections similar to that available in the United States in order to overcome investors' aversion to equity markets); SIMONSEN, *supra* note 12, at 124 (arguing that Brazil's tradition of closely-held family firms was not due to sociological traits, but to the failure of existing corporate laws to adequately protect minority shareholders).

¹⁵ David M. Trubek, *Toward a Social Theory of Law: An Essay on the Study of Law and Development*, 82 YALE L. J. 1, 45-6 (1972) (although it was well known that "the rules governing creditor and shareholder rights were imperfect, that courts were neither accessible nor efficient, and that sanctions were ineffective," there was initial hope that "as the markets boomed they would generate pressure for improvement in the private system"). This position has since been found to have some historical precedent. In both the United Kingdom and Germany, shareholdings became more dispersed before effective minority shareholder protection was adopted. See Franks et al., *supra* note 2; Julian Franks et al., *Spending Less Time with Family: The Decline in Family Ownership in the UK*, in A HISTORY OF CORPORATE GOVERNANCE AROUND THE WORLD 582 (Randall Morck ed., 2005) (describing the timing of dispersal of shareholdings in the UK).

¹⁶ For a detailed description of the tax incentives policies adopted in Brazil, see David M. Trubek, *Law, Planning and the Development of the Brazilian Capital Market*, 72-73 N.Y.U. (N.Y.U. Graduate School of Business Administration, Institute of Finance Bulletin Nos. 72-73, Apr. 1971).

directed to the purchase of non-voting preferred stock in publicly traded companies.¹⁷ The upshot of this program was rapid capital market growth, but not the creation of a sustainable source of market financing. Academic supporters of the government's incentives policy later acknowledged that their confidence in the program was mistaken, and that they had underestimated the State's capture by powerful economic groups.¹⁸

While these policies failed to establish sustainable capital markets, they succeeded in erecting hefty barriers to future law reforms. The tax incentives of the 1960s and 1970s triggered dramatic growth in the number of Brazilian publicly traded companies, but virtually all such firms had a controlling shareholder and a disenfranchised public shareholder base comprised mainly of holders of non-voting preferred stock.¹⁹ As a result, the same family-controlled corporations that were induced to go public by the government became a powerful interest group that would later block legal changes to improve minority protections; reforms would divert both wealth and power to the large ranks of new public shareholders. In 1971 the controlling shareholders of publicly traded firms founded the Brazilian Association of Public Companies, a lobbying group that would become highly successful in opposing investor protection reforms.²⁰ Moreover, the 1960s saw a rapid proliferation of state-owned enterprises in Brazil, many of which were publicly traded.²¹ Therefore, the State itself, as a controlling shareholder of the largest listed corporations in Brazil,²² would have independent reasons to oppose legal reforms that could transfer wealth to minority shareholders in subsequent years.²³

While legal reform to support capital market development remained on the government's public agenda, such reform as occurred was ineffective. A new Corporations Law enacted in 1976 was officially aimed at establishing the "requisite legal structure to strengthen the country's capital markets" through the "creation of a

¹⁷ *Id.* at 62. Since 1932, Brazilian firms were permitted to issue non-voting stock so long as these securities provided either a dividend or a liquidation preference vis-à-vis common stock. In many firms, non-voting preferred shares only had a liquidation preference. It was not until the legal reforms of 1997 and 2001 that Brazilian corporations were required to grant more substantial preferences (such as favorable dividend treatment, or tag-along rights) to preferred non-voting shares.

¹⁸ See, e.g., Trubek, *supra* note 15, at 48 (acknowledging that "the emerging structure of the Brazilian financial market seems to be one in which a very few powerful groups are actively supported by government policy, and where the government, in turn, is just as dependent on the success of these groups").

¹⁹ The São Paulo Stock Exchange had 200 listed companies in 1970; by 1977 the number had reached 452. MB Associados, *supra* note 11, at 30.

²⁰ See note 26 *infra* and accompanying text; see also Luciano Coutinho & Flavio Marcilio Rabelo, *Brazil: Keeping It in the Family* 49, in *CORPORATE GOVERNANCE IN DEVELOPMENT* (Charles P. Oman ed., 2004) (describing the role of the Brazilian Association of Public Companies, as a "traditional representative of the business elite," in successfully opposing corporate governance reforms in 2001).

²¹ See, e.g., THOMAS J. TREBAT, *BRAZIL'S STATE-OWNED ENTERPRISES* 59 (1983) (noting that the participation of state-owned enterprises among the largest Brazilian firms soared from 12 in 1962 to 23 in 1975).

²² Visão, *Brazil Report* 46 (1974) (reporting that state-owned enterprises held nearly 50% of the total net book value of the 1,000 largest firms in Brazil).

²³ See Pargendler, *supra* note 13 (describing how the alignment of interests between wealthy controlling families and the State itself, as the controlling shareholder of the largest Brazilian firms, consistently eroded minority shareholder rights in Brazil).

regime that assures to minority shareholders the respect for clear and equitable rules.”²⁴ Yet, despite the statute’s expressed good intentions and a very contentious legislative effort to include additional minority protections,²⁵ the overall contribution of the new law to improved investor rights was modest.

The Olson problem was conspicuous in these failed efforts to improve minority shareholder protection in the new Corporations Law. To begin with, the new law resolved the ongoing dispute over limits on the dilution of voting rights in favor of controlling families: the statute actually *increased* the existing ceiling for the issuance of non-voting preferred shares from 50% to up to 2/3 of the firm’s total equity capital, which meant that a shareholder could sustain uncontested control of a firm by holding less than 17% of the company’s total equity.

Similarly, a Senate amendment to the bill adding a mandatory bid requirement for minority shares in the event of a change of control (so-called “tag-along rights”) triggered a forceful reaction by the Brazilian Association of Public Companies, which launched a campaign demanding a presidential veto of this section of the statute.²⁶ The president refused to exercise his veto power,²⁷ but only seven days after the Corporation Law came into force, the federal government issued an “interpretative” decree stating that the mandatory bid rule only applied to *voting* shares held by minority investors.²⁸ Because public shareholders held mostly non-voting shares, the decree’s interpretation, which was upheld in court, significantly eroded this minority protection.

After a “lost decade” of debt crisis, stagflation, and sharply decreasing growth rates in the 1980s, Brazil initiated a modernization strategy in the 1990s that, inspired by the Washington consensus, replaced import-substitution subsidies with international competition and inaugurated a comprehensive privatization process. The reduction in the barriers to foreign capital enabled a major influx of foreign investment into the country, and the São Paulo Stock Exchange saw a record increase in its market capitalization compared to prior periods.²⁹ Yet at the same time there was a steady decline in the number of publicly listed firms and in the liquidity of local markets.³⁰ By December 1997, a single company, the telecom firm Telebrás, accounted for almost 60% of the Brazilian market’s trading volume. This was in large part a direct consequence of a government-sponsored reform to the Corporations Law in 1997.³¹ This new law removed

²⁴ Federal Law 6,404/76, as amended, remains Brazil’s principal corporate law statute.

²⁵ See MODESTO CARVALHOSA, NOVA LEI DAS SOCIEDADES ANÔNIMAS 11 (1977). Even though the House had only one week to introduce changes to the initial draft, the representatives produced 240 proposed amendments, which were largely aimed at eliminating a multitude of new privileges to financial conglomerates. *Id.* at 12.

²⁶ *Id.* at 17.

²⁷ Partial presidential vetoes were, and still are, legally permissible in Brazil.

²⁸ See CARVALHOSA, *supra* note 25, at 17.

²⁹ The ratio of stock market capitalization to GDP in Brazil jumped from an average of 8% in the 1980s to an average 26.3% between 1993 and 1998, while the ratio of trading volume to GDP increased from 2.7% to 15.6% in the same periods. MB Associados, *supra* note 11, at 25. By the early 1990s São Paulo’s had become the only active stock exchange in Brazil, as a scandal involving default by a major speculator in the options market in the late 1980s led to the demise of the Rio de Janeiro Stock Exchange.

³⁰ As a result, the trading volume on the Bovespa fell from more than \$191 billion in 1997 to \$101 billion in 2000 and \$65 billion in 2001 (available at www.bmfbovespa.com.br).

³¹ Federal Law 9,457/1997.

even the limited statutory protections then available to minority shareholders upon control sales, such as statutory appraisal rights at book value and the weakened mandatory bid rule, in order to allow the federal government to maximize its privatization proceeds. Commentators denounced the project as a confirmation of how the oligarchic character of Brazilian capitalism hindered the creation of effective capital markets.³²

By promoting acquisitions without exit opportunities for the minority, the abolition of the mandatory bid rule exposed the serious deficiencies in the legal protection of minority shareholders in case of freeze-outs and going private transactions. There were, for example, no legal impediments to undisclosed share purchases by controlling shareholders in the public market. Moreover, as delisting tender offers were not then subject to appraisal or fairness requirements, many companies went private through the payment of offer prices below the book value of the company.³³ A subsequent estimate indicated that Brazil had the highest levels of private benefits of control among 39 countries surveyed for the decade between 1990 and 2000.³⁴

The expectation of minority expropriation depressed share prices, which in turn deterred further offerings. Brazilian companies that still sought equity investments at reasonable valuations did so by circumventing local markets and listing almost exclusively on the New York Stock Exchange (NYSE), thereby piggybacking on more protective NYSE listing requirements and on the application to foreign issuers of elements of U.S. securities laws that accompanied NYSE listing.³⁵ However, a NYSE listing provided an alternative to only a limited range of firms; such a listing was too

³² Modesto Carvalhosa, *Comentários a Lei de Sociedades Anônimas LXXXVIII* (4th ed., 2002).

³³ Maria Helena Santana, *The Novo Mercado* 1, 12, in *FOCUS: NOVO MERCADO AND ITS FOLLOWERS* (IFC, 2008).

³⁴ Alexander Dyck & Luigi Zingales, *Private Benefits of Control: An International Comparison*, 49 J. FIN. 538 (2004). Dyck and Zingales compared the price paid for a controlling block to the market share price following the change of control in a sample of 393 transactions, and found that private benefits of control ranged from -4% in Japan to 65% in Brazil. *Id.* According to a different study, which used dual-class price differentials to estimate private benefits of control, an average Brazilian controlling shareholder could expect to extract up to 33.3% of the value of the company by holding as little of one sixth of total cash flow rights. Tatiana Nenova, *The Value of Corporate Votes and Control Benefits: A Cross-Country Analysis* (2000), 68 J. FIN. ECON. 325, 327 (2003).

³⁵ Some scholars have advanced a “bonding hypothesis” to explain the cross-listing of foreign issuers on U.S. exchanges. According to this theory, firms opt to subject themselves to higher disclosure standards and prospects of enforcement in the United States in order to credibly commit to minority protection and lower their cost of capital. For a description of this argument in the legal literature, see John C. Coffee, Jr., *Law and the Market: The Impact of Enforcement*, 156 U. PA. L. REV. 229, 235 (2007). For empirical works supporting a bonding hypothesis, and finding a premium associated with U.S. cross-listings, see Craig Doidge et al., *Why Are Foreign Firms Listed in the U.S. Worth More?*, 71 J. FIN. ECON. 205 (2004) (finding that foreign firms cross-listed in the U.S. had a Tobin’s q ratio 16.5% higher than other companies from the same countries); Craig Doidge et al., *Has New York Become Less Competitive than London in Global Markets? Evaluating Foreign Listing Choices Over Time*, 91 J. FIN. ECON. 253 (2009) (stating that the U.S. cross-listing premium persists after the enactment of the Sarbanes-Oxley Act and cannot be replicated by a London cross-listing). Nevertheless, there is also evidence of deficient enforcement of securities laws against foreign firms cross-listed on the U.S. vis-à-vis their domestic counterparts. See Natalya Shnitser, *A Free Pass for Foreign Firms? An Assessment of SEC and Private Enforcement against Non-U.S. Issuers*, __ YALE L.J. __ (2009).

expensive for small Brazilian issuers, which then lacked not only equity financing but also long-term debt financing options in the private sector.³⁶

By the turn of the century, the prospects for Brazilian capital markets looked increasingly grim. Only eight companies had launched an IPO on the São Paulo Stock Exchange (*Bolsa de Valores de São Paulo* – Bovespa, later renamed BM&F Bovespa)³⁷ between 1995 and 2000.³⁸ Following a study by prominent Brazilian economists commissioned by the São Paulo Stock Exchange,³⁹ the Exchange confronted the fact that inaction both by it and the legislature threatened the very survival of Brazilian capital markets.⁴⁰ The result was the Exchange's design of a dual regulatory regime aimed at curing, for new firms, the main legal deficiencies in investment protection while bypassing the political barriers to reforming the legal regime that protected existing public firms. The final product was the Exchange's December 2000 launch of the *Novo Mercado* (New Market), a premium exchange listing segment subject to listing requirements that imposed much stricter corporate governance rules than those provided under Brazilian law.⁴¹

B. The Novo Mercado Standards

When the São Paulo Stock Exchange took up the problem of reform, the contemporaneous success of the Deutsche Börse's initiative with its own New Market – the *Neuer Markt* – offered an attractive model. The Brazilian effort, however, was much more ambitious. The German experiment, which we describe in more detail below, was aimed only at attracting high-tech firms. The Brazilian Novo Mercado, in contrast, did not focus on a particular industry or type of firm. Both old and new firms in any industry were welcome to join the Novo Mercado so long as they were willing to comply with its requirements.

From the outset, the São Paulo Stock Exchange's goal was to address the flaws in the investor protection regime plaguing local capital markets. Following a broad consultation process with various local and foreign market participants, public agencies,

³⁶ See *supra* note 11 and accompanying text. Virtually the only local source of long-term financing was the Brazilian National Development Bank (BNDES), which offered generous long-term loans at below-market interest rates to the private sector. Nevertheless, politics and its historical industrialist focus favored established firms and rendered the Bank an imperfect substitute for effective capital markets.

³⁷ Bovespa merged with São Paulo's Commodities and Futures Exchange (*Bolsa de Mercadorias e Futuros* – BM&F) in 2007 to form BM&F Bovespa, a publicly-traded firm listed on the Novo Mercado.

³⁸ Santana, *supra* note 33, at 9.

³⁹ MB Associados, *supra* note 11.

⁴⁰ Cally Jordan & Mike Lubrano, *How Effective Are Capital Markets in Exerting Governance on Corporations? Lessons of Recent Experience with Private and Public Legal Rules in Emerging Markets* 20 (2008), available at <http://ssrn.com/abstract=323163> (describing the creation of Novo Mercado as a “quasi-private effort to make up for the perceived shortcomings of legislative reform”).

⁴¹ While the Brazilian Congress finally amended the Corporations Law in late 2001, the Olson problem was again apparent: the reform was quite limited. The new statute (Law 10,303) continued to permit the issuance of non-voting preferred shares, but the ratio to total capital was reduced from 2/3 to 50% for new firms. The 2001 law also reintroduced a mandatory bid rule, but only partially: it applied only to common shares and entitled common shareholders to receive only 80% of the price paid for the controlling block. Other protective provisions in the statute – such as the right of minority shareholders to call a special meeting to deliberate on transactions tainted by the controlling shareholders' conflicts of interest – were vetoed by Brazil's President.

and investors, the Exchange created a standard that would operate like a privately-created law for publicly-traded business corporations. The idea was that a contractual solution would circumvent the persistent legislative capture thwarting legal reform.⁴²

The Novo Mercado listing standards were entirely voluntary. A company had to choose to subject itself to the higher standards; companies were free to remain listed on, or to obtain their initial listing on, the traditional segment. The strategy was to attract to the Novo Mercado principally new firms that had an interest in obtaining equity capital at the lower cost that would result from more stringent corporate governance protection for shareholders. Because the Novo Mercado left intact the regime applicable to old firms, it served to defuse the Olson problem by diluting – or at least deferring – the threat to established interests.

This is not to say that old firms were indifferent to these developments. On the contrary, they showed a keen interest in seeing the Novo Mercado initiatives fail. In classic Olson fashion, most of the opposition came from large and well-established Brazilian corporations that, having a strong presence in Brazil's capital markets and access to international financing sources, saw little to gain from this new project.⁴³ The Brazilian Association of Public Companies argued that the adoption of alien corporate governance standards unsuited to local conditions could harm the performance of Brazilian corporations.⁴⁴ Yet this reaction from old firms was significantly milder than their successful efforts to block or dilute previous legislative proposals.

The dual regulatory approach goes a long way in explaining the established firms' complacency vis-à-vis the Novo Mercado. Unlike legislative reform, the Novo Mercado regime did not affect the existing firms' legal rights and duties; there was no wealth or power transfer from controlling shareholders to minority shareholders of legacy companies. On the contrary, old firms may have thought that the Novo Mercado could in fact serve to reduce the demand for comprehensive statutory reform.⁴⁵ While these firms also feared being stigmatized for "suboptimal governance" if they failed to embrace the Novo Mercado requirements, the fact that the old as well as the new standards remained permissible for both old and new firms offset somewhat the negative connotation.⁴⁶

To be sure, while regulatory dualism prevents the old firms from suffering the adverse distributive consequences of minority protection reforms, it does little to address the competitive threat from capital market development. There are, however, several reasons why the existing Brazilian firms likely viewed the potential for increased competition due to the success of new firms as sufficiently remote as not to pose a real and present danger. First, the Novo Mercado was an untested experiment and its very

⁴² CALIXTO SALOMÃO FILHO, *NOVO DIREITO SOCIETÁRIO* 58 (2006).

⁴³ Santana, *supra* note 33, at 12.

⁴⁴ *Relatório Anual da Diretoria* (2005), available at www.abrasca.org.

⁴⁵ Indeed, following the creation of the Novo Mercado the Brazilian Association of Public Companies began to argue that legal reforms banning non-voting preferred shares were unnecessary precisely because "voluntary market mechanisms" had emerged to address this issue. See *Relatório Anual da Diretoria* (2006) at 24, available at www.abrasca.org.

⁴⁶ Santana, *supra* note 33, at 12.

potential for success was highly uncertain at the outset.⁴⁷ Since capital market development is notoriously hard to achieve,⁴⁸ the political costs of opposing such an improbable project probably seemed larger than the expected benefits. Second, the most influential members of the corporate establishment – large state-owned enterprises and family-controlled conglomerates – were in any case unlikely to be in the same industry and become direct competitors of the medium-sized firms that were initially expected to pursue a Novo Mercado listing.⁴⁹ Finally, the increased foreign competition to which established firms were being exposed by the worldwide opening of trade in recent years may have made the reforms, even if successful, more palatable: poor access to capital in Brazil would not inhibit Brazilian firms’ foreign competitors, and might even hinder established Brazilian firms in confronting that foreign competition.⁵⁰ All in all, then, the Novo Mercado looked like a relatively unthreatening compromise.

The São Paulo Stock Exchange was sensitive about not unduly upsetting existing firms, which constituted, after all, its principal clientele. Its initial project envisioned the creation of a single alternative regime – the one-share-one-vote Novo Mercado. This proved, however, too demanding for the appetite of most existing companies. Consequently, a more accommodating solution was settled upon, which involved the creation of a series of three new graduated levels of regulation that culminated in the Novo Mercado (see Table 1).

As adopted, the overall reform encompassed a four-level system of listings, which offered progressively higher levels of minority shareholder protection:

- (1) Basic (pre-existing legal rules)
- (2) Level 1
- (3) Level 2
- (4) Novo Mercado

⁴⁷ As described in Part II(E) *infra*, the Novo Mercado took a while to take off after it was adopted. Two years after its creation, commentators were skeptical of governance reforms through stock exchange standards, and attributed the “weak response” to the Novo Mercado experiment to its inability to compete with the stronger “reputational brand” of the NYSE. John C. Coffee, *Racing Towards the Top? The Impact of Cross-Listings and Stock Market Competition on International Corporate Governance*, 102 COLUM. L. REV. 1757, 1807-8 (2002).

⁴⁸ See, e.g., Bernard S. Black, *The Legal and Institutional Preconditions for Strong Securities Markets*, 48 UCLA L. REV. 781, 782 (2001).

⁴⁹ MB Associados, *O Mercado de Capitais Brasileiro Frente aos Desafios Impostos pelas Negociações Internacionais em Serviços Financeiros* 27 (2002), available at www.bmfbovespa.com.br (noting that the Novo Mercado initially aimed at attracting medium-sized firms with ongoing investment projects).

⁵⁰ See Rajan & Zingales, *supra* note 3, at 7 (arguing that “when a country’s borders are open to both trade and capital flows (...) the opposition to financial development will be most muted and development will flourish”).

Table 1. Main Listing Requirement of Brazil's Premium Corporate Governance Segments

	Novo Mercado	Level 2	Level 1
Securities listed	Common stock	Common stock Non-voting preferred stock (with special voting rights in case of merger, spin-off and related-party contracts)	Common stock Non-voting preferred stock
Mandatory bid rule	100% price	100% price for common stock 80% for preferred stock	80% price for common stock*
Mandatory arbitration	Yes	Yes	No
Board of directors	Minimum of 5 directors 20% independent 2-year unified term	Minimum of 5 directors 20% independent 2-year unified term	Minimum of 3 directors*
Mandatory tender offer at "economic value" in case of delisting	Yes	Yes	No
Financial statements in accordance with U.S. GAAP or IFRS	Yes	Yes	No
Minimum free float of 25% of total equity	Yes	Yes	Yes
Disclosure of material related-party contracts	Yes	Yes	Yes
Disclosure of monthly equity ownership and trading by controlling shareholders, directors and officers	Yes	Yes	Yes
Public offerings to use mechanisms favoring capital dispersion	Yes	Yes	Yes

* *Mandatory requirement under Brazilian law*

The less restrictive of the new segments – named Level 1 and Level 2 – were given requirements reasonably acceptable to existing companies. For example, they do not restrict the issuance of preferred non-voting shares. The goal of this graduated scale was to garner support from existing firms; it gave them the opportunity to receive a good corporate governance seal for taking part in the premium corporate governance standards – by moving up, if they chose, from the existing rules to Level 1 or Level 2 – while making few, or really none, of the meaningful concessions requisite for a Novo Mercado listing.

The highest level, the Novo Mercado, provided a bundle of stricter corporate governance standards aimed at regaining investor confidence in Brazil's capital markets. The creators of the Novo Mercado saw the added value of this bundle of rights as greater than the sum of its parts – a view which is now widely shared among investors. The Exchange marketed the segment as a brand for superior corporate governance and did not permit firms to opt out of any of its listing requirements. It also correctly perceived that the overall reputational integrity of the segment was critical to its success.⁵¹

The central feature of the Novo Mercado was a one-share-one-vote requirement.⁵² This stricture allowed issuers who listed on this segment to credibly commit to forgo the myriad of expropriation opportunities which controllers have historically used to exploit non-voting preferred shareholders in Brazil. Prior to the Novo Mercado, the typical ownership structure of a Brazilian publicly-traded company featured the simultaneous presence of a controlling shareholder and a thoroughly disenfranchised set of public shareholders. Through the extensive use of non-voting stock and, to a lesser extent, pyramidal structures, controlling shareholders in Brazil had a significant majority of a company's voting rights, but typically a minority of its cash-flow rights.⁵³ Indeed, Brazil had both the world's largest number of dual-class firms,⁵⁴ and the largest average gap between cash-flow and voting rights.⁵⁵ In economic terms, this ownership pattern produced two classical types of corporate agency problems – those resulting from the absence of any external check on the controlling shareholder's performance in managing the firm, and those resulting from controlling shareholders' incentives to engage in theft and tunneling.

The Novo Mercado's prohibition of non-voting shares had two direct benefits: it reduced the opportunities for abuse by giving minority shareholders the ability to voice their concerns and to attempt to influence corporate action, and – by removing the substantial wedge between voting and cash-flow rights in most Brazilian public firms – it limited the controlling shareholders' incentives for expropriation. A large shareholder could maintain control, but at the cost of maintaining a matching equity investment, which would then serve to better align the interests of controlling and minority shareholders. This meant that, apart from other listing requirements and enforcement measures, the very capital structure of Novo Mercado firms helped deter tunneling and

⁵¹ For a discussion of the role of network effects in the implementation of regulatory dualism through private organizations, see Part V(B)(2) *infra*.

⁵² We use the term "one-share, one-vote" loosely to describe the absence of non-voting shares. Voting caps and pyramidal structures are not yet prohibited under the current Novo Mercado regulations, although the São Paulo Stock Exchange has recently proposed an amendment to this effect. See notes 57 and 58 *infra* and accompanying text.

⁵³ See, e.g., André Carvalho-da-Silva & Ricardo Leal, *Corporate Governance, Market Valuation and Dividend Policy in Brazil*, 1 FRONTIERS FIN. & ECON. 1 (2004) (finding that, as of 2000, the largest shareholder in their sample of 225 firms held, on average, 72% of the company's voting stock and 51% of its total capital); Ricardo P.C. Leal & André Carvalho da Silva, *Corporate Governance and Value in Brazil (and in Chile)* (2005), available at http://papers.ssrn.com/sol3/papers.cfm?abstract_id=726261 (noting a rise in the concentration of voting rights in Brazilian firms from 1998 to 2002).

⁵⁴ Andre Carvalho da Silva & Avanidhar Subrahmanyam, *Dual-Class Premium, Corporate Governance and the Mandatory Bid Rule: Evidence from the Brazilian Stock Market*, 13 J. CORP. FIN. 1, 4 (2007).

⁵⁵ Tatiana Nenova, *Control Values and Changes in Corporate Law in Brazil* (2001), available at http://papers.ssrn.com/sol3/papers.cfm?abstract_id=294064.

self-dealing, thus contributing to the segment's reputation for superior investor protection.

Voting caps and pyramidal structures are not prohibited under existing Novo Mercado regulations, although the São Paulo Stock Exchange is considering an amendment to that effect.⁵⁶ The proposed dual-class recapitalization of Novo Mercado firm Cosan – which, by taking place at the holding company level, would leave the listed company in formal compliance with the segment's listing requirements – raised concerns that companies would begin using alternative transaction structures to circumvent the Novo Mercado's rules.⁵⁷ In response to these developments, the Working Group in charge of revising the Novo Mercado listing standards recently proposed the adoption of a new and broader listing standard clarifying that any structures leading to a direct or indirect violation of the Novo Mercado's rules and principles will be deemed a violation of the segment's listing requirements.⁵⁸

The Novo Mercado also imposes a mandatory bid rule under which the purchaser of a controlling block of stock must offer to purchase the rest of the company's stock at the same price per share. To be sure, the efficiency of mandatory bid requirements remains subject to debate.⁵⁹ In a regime that tolerates an overall high level of private benefits of control, a mandatory bid rule allows minority shareholders to exit at a fair price upon control sales and therefore restricts the ability of a controlling shareholder to receive the capitalized value of the private benefits of control. Mandatory bid requirements thus operate as a structural protection device that reduces the value of private benefits, albeit at the cost of preventing some efficient control transfers.⁶⁰ Another potential benefit of the Novo Mercado's requirement of a mandatory bid rule is that, similarly to the one-share-one-vote requirement, it operates as a structural screening device for the corporate governance quality of firms choosing to take part in the segment. By preventing controlling shareholders from receiving the capitalized value of their private benefits of control upon a subsequent control sale, the mandatory bid rule serves

⁵⁶ *Recomendações da Câmara Consultiva do Novo Mercado* (2009) [hereinafter "Recommendations"], available at www.bmfbovespa.com.br.

⁵⁷ The offer ultimately failed to attract sufficient shareholders to delist Cosan from the Novo Mercado, but the incident served as a warning about the risks of evasion of the segment's requirements. *Brazil's Cosan to Stay on São Paulo Exchange*, REUTERS, Apr. 22, 2008.

⁵⁸ Recommendations, *supra* note 56.

⁵⁹ For a discussion of the economic properties of a mandatory bid rule, see Frank H. Easterbrook & Daniel R. Fischel, *Corporate Control Transactions*, 91 YALE L.J. 698, 716, 737 (1982) (arguing that unequal sharing of gains in corporate control transactions maximizes shareholder wealth); Lucian A. Bebchuk, *Efficient and Inefficient Sales of Corporate Control*, 1994 Q.J. ECON. 957 (positing that the "equal opportunity rule" followed in other countries may lead to an increase in the incidence of controlling shareholder structures compared to the market rule followed in the United States); Marcel Kahan, *Sales of Corporate Control*, 9 J. L. ECON. & ORG. 368 (1993) (arguing that equal sharing rules may be less efficient than private control transfers for sales of high fractions of corporate shares); Clas Bergström et al., *The Optimality of the Mandatory Bid Rule*, 13 J. L. ECON. & ORG. 433 (1997) (costs of mandatory bid rule include making control transactions more expensive by implicitly prohibiting partial bids).

⁶⁰ The tradeoff between encouraging efficient transactions and protecting minority investors from expropriation upon control sales in countries lacking adequate regulation of going-private transactions remains open to investigation. From a description of different modalities of extraction of private benefits of control in operating decisions, control sales and freeze-outs, see Ronald J. Gilson & Jeffrey N. Gordon, *Controlling Controlling Shareholders*, 152 U. PA. L. REV. 785, 787 (2003).

to discourage entrepreneurs who expect to extract high private benefits from pursuing a Novo Mercado listing.

The listing rules also constrain the ability of controlling shareholders and managers of Novo Mercado firms to renege on their initial commitment to stricter corporate governance standards by simply exiting the segment. Persons wishing to delist a firm from the Novo Mercado must first launch a tender offer for the firm's shares at a price at least equal to their economic value.⁶¹ The tender offer requirements also apply to delisting decisions by the Exchange for violations of listing rules.⁶² In addition, the Novo Mercado regulations permit the BM&F Bovespa to impose fines and suspend stock trading in case of non-compliance with the segment's standards.⁶³

The Level 2 requirements track those of the Novo Mercado except that non-voting shares are permitted and mandatory bid requirements are limited compared to the Novo Mercado standards. Level 1 is the most lenient of the new listing standards. The listing requirements impose no new substantive minority rights per se, but only enhanced disclosure and free float requirements. In fact, because subsequent amendments to the Corporations Law and changes in regulations by the Brazilian Securities and Exchange Commission (*Comissão de Valores Mobiliários* – CVM) are transforming most of the Novo Mercado disclosure requirements into law, labeling Level 1 as a premium corporate governance standard is fast becoming a misnomer.⁶⁴ As a result, the Working Group in charge of revising the requirements for the premium listing segments has recently proposed the elimination of Level 1 altogether. If approved, firms listed on Level 1 would be required to either migrate to the more demanding Level 2 or Novo Mercado, or return to the traditional segment.⁶⁵

C. One Judiciary for Two Regulatory Regimes

A problem with regulatory dualism – at least when deployed within a single country, as in Brazil, rather than across multiple states, as in the U.S. and EU approaches described below – is that, in principle, both of the regulatory regimes must ultimately be enforced by the same national judiciary. And a weak judiciary is a characteristic problem in developing countries. Thus, the question arises whether two regulatory regimes can be made significantly different if they both depend on the same enforcement regime.

In Brazil, the Novo Mercado and Level 2 attempt to avoid the enforcement difficulties associated with an ineffective judiciary through the provision of mandatory and institutionalized arbitration for internal affairs disputes.⁶⁶ Here, as elsewhere, the conventional drawbacks of arbitration compared to public judicial procedures with

⁶¹ Novo Mercado Listing Rules, Section 11.

⁶² *Id.*, Section 12.

⁶³ *Id.*

⁶⁴ The CVM was established by the Capital Markets Law (Law 6,385) of 1976, the same year of the enactment of the then new Corporations Law. It was not until the last decade, however, that the Commission began taking a truly activist stance toward investor protection. See notes 197-199 *infra* and accompanying text.

⁶⁵ Recommendations, *supra* note 56.

⁶⁶ According to the most recent cross-country comparison by the 'Doing Business' division of the World Bank, Brazil ranks as 100 out of 181 economies with respect to the ease of enforcing commercial contracts. See Doing Business 2009: Brazil, available at www.doingbusiness.org.

respect to corporate law and complex commercial disputes apply.⁶⁷ In developing countries like Brazil, however, with weak public commercial courts, arbitration may be the only domestic means of addressing the enforcement problem. Arbitration procedures are believed to be faster, as well as more confidential and technical (and thus less subject to political pressures or corruption), than a typical judicial lawsuit in Brazil.⁶⁸

The Novo Mercado's approach to arbitration is cleverly designed to mitigate arbitration's weaknesses while maintaining its strengths. The arbitration proceedings are managed by a permanent Market Arbitration Panel established under the auspices of the São Paulo Stock Exchange,⁶⁹ thus adopting a structure that resembles a public court. For example, the Panel is required to periodically publish the content of the substantive decisions and the names of the respective arbitrators.⁷⁰ This ensures a channel of accountability to, and pressure from, market participants – although the names and other identifying information about the parties and their lawyers are expressly exempt from disclosure requirements, which compromises somewhat the system's transparency. The Panel regulations also provide that arbitrators may take the Panel's precedents into account in their decision making process.⁷¹ Moreover, because the arbitration procedure is administered by the Exchange – an institution having a major stake in the integrity of the Novo Mercado – the potential for arbitral decisions to disregard policy considerations and their ex ante impact on other actors' incentives is also reduced, though not eliminated. The Panel regulations in fact allow the parties to jointly authorize the Arbitral Tribunal to decide the dispute based on equity considerations.⁷²

The effectiveness of the Market Arbitration Panel remains untested, since no arbitration decisions have been reported to date. The scarcity of complaints may indicate a high degree of compliance and investor comfort with the governance of Novo Mercado firms; the mere availability of arbitral tribunals may have served as a check on extreme forms of opportunistic transactions by controlling shareholders and managers. However, the Brazilian judiciary also experienced a similar dearth of complaints concerning

⁶⁷ For instance, arbitral panels have an infamous tendency to “split the baby” and find a mutually acceptable, even if unprincipled, solution to the dispute in question, while public courts can perform better in holding parties to their incentives for performance ex ante. For a discussion of the advantages of public courts over arbitration, see Jens Dammann & Henry Hansmann, *Globalizing Commercial Litigation*, 94 CORNELL L. REV. 34 (2008).

⁶⁸ Public courts must ultimately enforce arbitration awards in the absence of voluntary compliance by the losing party, which reintroduces concerns about judicial effectiveness, but the procedure for the enforcement of arbitration awards is much simpler than the initial determination of a violation, and is subject to a limited scope of review.

⁶⁹ The involvement of the São Paulo Stock Exchange in the Novo Mercado arbitration process is not trivial. The board of directors of BM&F Bovespa is responsible for appointing thirty arbitrators with renowned capital market expertise to compose the Panel, and the applicable regulations provide that the parties should preferably, although not necessarily, appoint arbitrators who are members of the Panel. Thus, the reputations of prominent individuals are placed behind the arbitration procedure. In addition, before the award is made final, the Arbitral Tribunal needs to submit a draft to the Chairman or Vice-Chairman of the Panel, who, without interfering with the arbitrators' judgment, may propose changes to the formal aspects of the award and draw attention to other substantive aspects of the dispute. Market Arbitration Panel Regulation, Sections 7.8 and 9.2.1.

⁷⁰ *Id.*, Section 9.13.

⁷¹ *Id.*

⁷² *Id.*, Section 7.12.7.

corporate governance matters for many years, without warranting a conclusion about the exemplary behavior of Brazilian companies with respect to minority protection.⁷³ Minority shareholders may simply have recognized a lost cause when they saw one, or resorted instead to an increasingly investor-friendly Securities and Exchange Commission to file complaints.⁷⁴

All in all, the Novo Mercado is making a plausible effort at leveraging its arbitration panel to create an alternative enforcement solution for the new, more rigorous market regime. Whether the balance struck in the Novo Mercado's enforcement mechanism is effective will depend on the Novo Mercado's actual operation, to which we now turn.

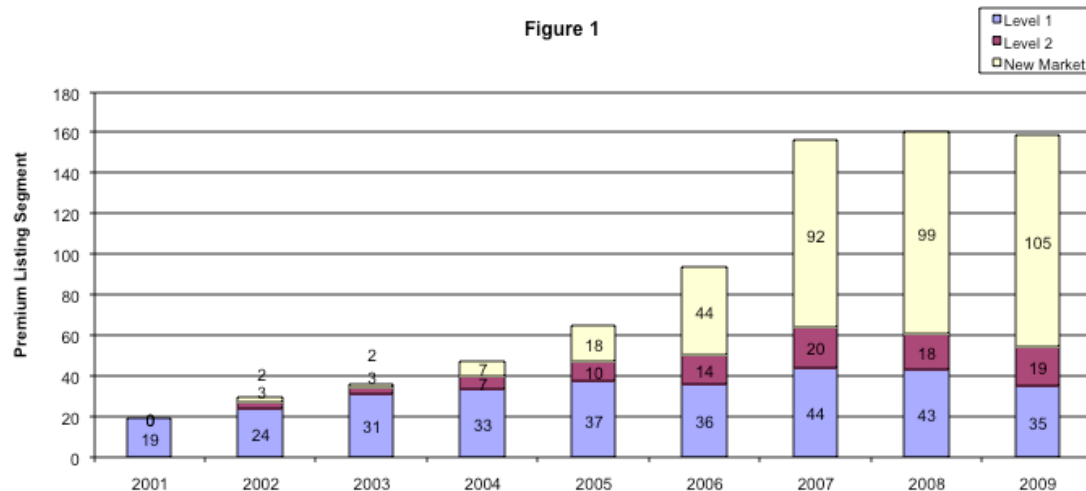
D. Experience with the Novo Mercado

The Novo Mercado eventually became the highlight of Bovespa's premium listing segments, but that success developed only over time. From its official launch in December 2000 until 2002, the Novo Mercado had no listings, and did not become a mainstream option for IPOs until 2004. The slow start was due in no small part to the fragility of equity markets worldwide, and in particular the disappearance of IPOs following the burst of the dot-com bubble and the U.S. corporate governance scandals in the early 2000s. Because the Novo Mercado was primarily designed for new public firms, the dearth of new IPOs was especially damaging. It was not until 2005 that the market for Brazilian IPOs became substantial, which resulted in the Novo Mercado segment experiencing a boom in new listings.

As a result, during the 2000 through 2004 period the São Paulo Stock Exchange focused on persuading existing firms to join Levels 1 and 2, which were less demanding and did not directly constrain existing controlling shareholders. As early as 2001, 15 firms that previously traded on the traditional segment had moved to a Level 1 listing. Figures 1 and 2 below show the aggregate number of firms listed in the different premium segments and the distributions of IPOs per segment from 2001 through 2009.

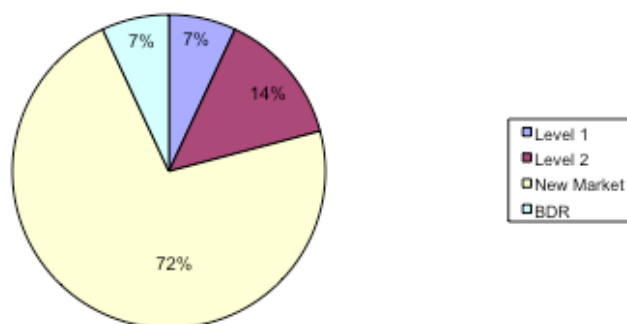
⁷³ See Paulo Cezar Aragão, *A CVM em Juízo: Limites e Possibilidades*, 89 REVISTA DO ADVOGADO 38, 40 (2006) (noting that in the more than 30 years of authority of the 1940 Corporations Law, there was only one judicial lawsuit on the duties and liabilities of managers of Brazilian corporations).

⁷⁴ See notes 197-199 *infra* and accompanying text.



Source: BM&F Bovespa

Figure 2
r Segment (2004 - 2009)



Source: BM&F Bovespa

As anticipated by its founders, a significant majority of Novo Mercado listings took place in connection with the firms' IPOs – that is, at the point in time in which the incentives of controlling shareholders to make corporate governance concessions are at their maximum in order to reduce their cost of capital. More important, over 72% of all Brazilian IPOs were listed on the Novo Mercado, and all new Brazilian listings since 2004 took place on one of the premium listing segments.⁷⁵ Indeed, the National Association of Investment Banks used its self-regulatory authority to prevent its members from underwriting new offers which did not, at a minimum, satisfy a Level 1 listing.⁷⁶ Of these, the overwhelming majority of new registrants opted for the Novo Mercado.⁷⁷

⁷⁵ See www.bmfbovespa.com.br.

⁷⁶ ANBID Self-Regulatory Code for Public Offerings for the Distribution or Acquisition of Securities, Art. 6 (2002).

⁷⁷ Many of the recent IPOs that took place outside of the Novo Mercado did so due to regulatory restrictions on foreign control that prevented firms from issuing only voting shares without governmental

For most already-listed firms, the existence of a substantial amount of non-voting preferred shares held by minority shareholders was an impediment to migration to the Novo Mercado. Out of more than 100 firms that listed on the Novo Mercado between 2002 and 2009, only approximately 20% had previously been listed on the traditional segment. This is so even though the CVM has permitted “Pareto superior” reorganizations that eliminate the non-voting shares, with the efficiency gains shared between controlling and noncontrolling shareholders. In effect, these reorganizations compensate the controlling shareholders for giving up rights to expropriate the noncontrolling shareholders.⁷⁸ In Brazil, this is accomplished by permitting controlling shareholders to extract a premium upon the conversion of preferred shares into common shares in anticipation of a migration to the Novo Mercado, so long as the minority shareholders separately approve the transaction.⁷⁹ Indeed, at least four firms have approved the conversion of preferred shares to common shares at premiums to common shareholders ranging from 9% to 28%, but substantial transaction costs and information asymmetries hinder the occurrence of additional efficient migrations.⁸⁰

But this is not the entire story. Although the difficulties in unwinding “leveraged” governance structures may be holding back firms listed in other premium standards from listing on the Novo Mercado, this is not the case for existing public companies moving to Levels 1 or 2. Nonetheless, the overwhelming majority of companies listed in the traditional segment at the time of the launch of Bovespa’s premium standards have not migrated even to Level 1 or Level 2, and have not otherwise made meaningful voluntary governance concessions. The obvious explanation is that they lack any incentive to make concessions. Many of these firms went public in the distant past (and often for tax reasons), and have little interest in giving up their lax regulatory treatment for the sake of better access to public markets.

Table 2 shows that, despite their limited contribution to market liquidity and trading volume, firms listed on the basic segment still represent a majority of the formally publicly traded companies in Brazil – hence their clout in opposing comprehensive legal reform and the importance of the fact that they were allowed to remain subject to the pre-existing standards. Other old firms are among the largest and most successful Brazilian

approval. These firms generally opted for a Level 2 listing and committed in their prospectus to a Novo Mercado migration once the requisite authorizations were obtained.

⁷⁸ These reorganizations are examples of the “efficient restructurings” discussed in Henry Hansmann & Reinier Kraakman, *The End of History for Corporate Law*, 89 GEO. L. J. 439, 461 (2001). Hansmann and Kraakman note that efficient restructurings require that the controlling shareholders be able to extract the capitalized value of private benefits of control when opting for a superior corporate governance regime. Efficient restructurings, they argue, can be an antidote to the path-dependent nature of corporate ownership and governance identified by Bebchuk and Roe. See Lucian Bebchuk & Mark Roe, *A Theory of Path Dependence in Corporate Ownership and Governance*, 52 STAN. L. REV. 127 (1999).

⁷⁹ CVM Advisory Opinion 34/2006. In a highly publicized transaction involving a major Brazilian telecom, minority shareholders rejected a proposal to migrate from the traditional segment to the Novo Mercado at conversion ratios by which common shares would be worth 2.6 times more than preferred shares. *Oil, Brazil’s Shareholding Elite Receives a Black Eye From the Regulator*, THE ECONOMIST, Aug. 29, 2006.

⁸⁰ In addition, at least a handful of the firms that migrated to the Novo Mercado from the traditional segment had as a shareholder the investment arm of Brazil’s National Development Bank (BNDESPar), an early and vocal supporter of the Novo Mercado – implying that the new segment may have been embraced in these cases owing to factors other than the invisible hand of the market.

corporations – the so-called “blue chips” – which, due to their size and track record, have traditionally had privileged access to local and foreign capital markets and other financing sources. They too have found it unnecessary to commit to more stringent governance levels, and have at most migrated to Level 1.

Table 2. Number of Listed Firms per Segment (January 2010)

Segment	#Firms	%Firms	% Market Cap	% Trading Volume
Novo Mercado	106	24.5%	23.7%	33.9%
Level 2	19	4.4%	6.5%	5.1%
Level 1	35	8.1%	35.0%	36.4%
Basic and BDRs	273	63.0%	34.8%	24.6%
Total	433	100%	100%	100%

Source: BM&F Bovespa

The Novo Mercado contributed to changing the ownership structure of Brazilian companies by eliminating, for listed companies, the previously pervasive wedge between voting and cash-flow rights. The result was to increase the cost of voting shares for a controlling shareholder. Novo Mercado firms therefore have a significantly higher degree of dispersion of voting shares than those listed in other segments.⁸¹ Moreover, the Novo Mercado also encouraged the rise of the few truly widely held companies in Brazil, a phenomenon that was widely acclaimed by both local media and scholars.⁸²

In addition, many Novo Mercado firms are party to shareholder agreements among major blockholders,⁸³ which have enabled some firms to maintain an intermediate level of shareholder distribution between a single controlling shareholder on the one hand, and widely-dispersed ownership on the other. Multi-party shareholders agreements can, under certain conditions, help reduce agency costs by combining shareholder oversight of management with the absence of a single dominant shareholder that could easily expropriate the minority without peer supervision. So long as the blockholder parties to a shareholder agreement are independent of each other, the ability of the controlling coalition to consistently realize private benefits of control are constrained by collective action problems and by the difficulty of agreeing upon and contracting over expropriation methods and levels. Shared control arrangements therefore have some promise as a pre-commitment mechanism to avoid the extraction of private benefits of control in countries with insufficient legal protection against affiliate transactions, as is the case of Brazil.⁸⁴

⁸¹ See Érica Gorga, *Changing the Paradigm of Stock Ownership from Concentrated Towards Dispersed Ownership? Evidence from Brazil and Consequences for Emerging Countries*, 29 NW. J. INT'L L. & BUS. 439 (2009).

⁸² *Id.* at 446.

⁸³ *Id.* at 474.

⁸⁴ Although many of the existing shareholder agreements are among related parties alone, raising concerns that they effectively create a potentially opportunistic controlling coalition, others arguably exhibit

Yet despite the emergence of a few widely-held companies and the evolution toward intermediate ownership structures based on blockholdings, it is easy to overstate the extent of the shift toward ownership dispersion in the Novo Mercado.⁸⁵ First, dispersed ownership is often too loosely defined. Brazilian commentators and Novo Mercado regulators define “dispersed control” as the absence of any individual shareholder or group holding at least 50% of the company’s voting stock.⁸⁶ Hence, many companies that are labeled as having dispersed ownership structures in Brazil actually have a major blockholder that would be treated as a controlling owner in other jurisdictions.⁸⁷ Moreover, the vast majority of Novo Mercado firms have adopted in their bylaws enhanced mandatory bid rules triggered at a lower threshold and imposing a higher premium than the Novo Mercado standards.⁸⁸ These enhanced mandatory bid rules, as well as shareholder agreements, allow small groups of major shareholders to exercise uncontested control even though no single shareholder holds a majority of voting shares.

Although the Novo Mercado is by no means the only factor that contributed to the capital market boom in Brazil in recent years,⁸⁹ the expansion of Brazilian capital markets following the Novo Mercado’s launch was remarkable. In 2007, Brazil was the third most active IPO market in the world, after China and the U.S., and was responsible

independence. Unlike a single controlling shareholder or an affiliated controlling group, unrelated blockholders face coordination problems in expropriating minority shareholders and dividing the respective proceeds, as they are unable to write legal contracts to that effect. See Julian Franks & Colin Mayer, *Ownership and Control of German Corporations*, 14 REV. FIN. STUD. 943 (2001) (finding that blockholders in German firms effectively discipline management and extract low private benefits of control).

⁸⁵ As of 2008, Level 1 firms (where many of the old, traditional Brazilian firms are listed) still had on average slightly more widely distributed shareholdings as a percentage of total capital than Novo Mercado companies – though this is not the case if one counts only voting shares. See Gorga, *supra* note 113, at 85-6.

⁸⁶ Novo Mercado Listing Rules (defining “diffuse control” as the control exerted by a shareholder who holds less than 50% of the company’s capital stock). See also, Gorga, *supra* note 113, at 27.

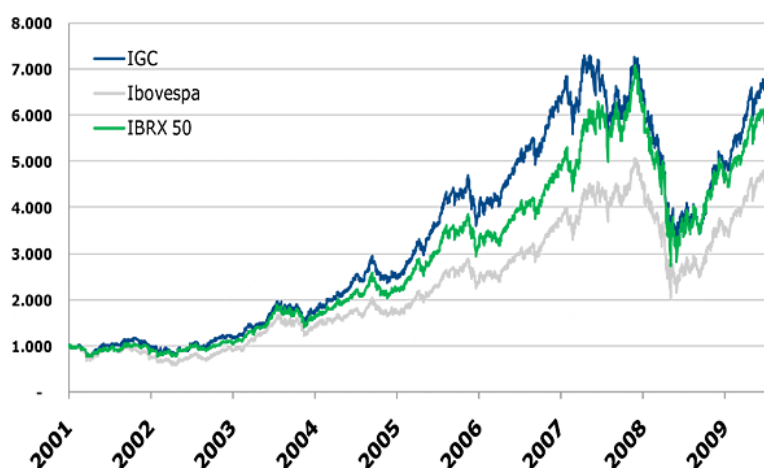
⁸⁷ For example, the law-and-finance literature adopts a substantially lower threshold to ascertain the existence of a controlling shareholder. See, e.g., La Porta et al., *Corporate Ownership around the World*, 54 J. FIN. 471, 491 (1999) (using a 10% threshold to determine control).

⁸⁸ The vast majority of firms going public between in recent years adopted in their bylaws some form of enhanced mandatory bid rule, which is subject to triggers generally ranging from 10 to 35% of the company’s shares. These mandatory bid rule requirements typically impose a minimum premium requirement – which, in the case of some companies, reach the exorbitant amount of 50% above the firm’s 52-week high price, thus effectively serving as a takeover shield. Moreover, many such clauses were drafted as dead hand devices – that is, neither shareholders nor the boards can alter their content without first offering to buy out the remaining shareholders under the existing criteria. Nevertheless, the CVM has recently asserted that these “immutable” provisions in firm bylaws are invalid under Brazilian law. See CVM Advisory Opinion 36/2009.

⁸⁹ Improvements in domestic macroeconomic conditions, including the decline in interest rates of Brazilian public bonds, and booming international financial markets were also key to the renaissance in Brazil’s capital markets starting in 2004. Previously, the combination of high inflation, staggering interest rates, and unstable economic policy had created an unsuitable environment that deterred Brazil’s capital market development. See, e.g., S. Wade Angus & Mariana Pargendler, *Opportunities and Challenges for Foreign Private Equity Investors in Brazil* 63, 73, in INTERNATIONAL BUSINESS TRANSACTIONS WITH BRAZIL (Beatriz Franco et al. eds., 2008).

for 10% of the volume of such offerings worldwide.⁹⁰ By mid 2008, Brazil's stock market capitalization for the first time equaled its GDP,⁹¹ and the Novo Mercado alone had 100 listings. Figure 3 shows that the index of firms listed on the premium corporate governance segments (Level 1, Level 2 and Novo Mercado) ("IGC") has consistently outperformed both the index composed of the 50 most traded stocks ("IBRX50") and the index representing 80% of the exchange's trading volume ("Ibovespa").⁹²

Figure 3. Evolution of Stock Indices at BM&F Bovespa



Source: BM&F Bovespa

Just like its counterparts around the world, Brazil's capital markets suffered a significant setback beginning in the second half of 2008, but they have also been among the first to recover from the global financial downturn (see Figure 3).⁹³ The São Paulo Stock Exchange was home to the largest IPO worldwide through the first three quarters

⁹⁰ Ernst & Young, *Growth During Economic Uncertainty: Global IPO Trends Report* (2008). Brazil raised \$27.3 billion in IPOs, compared to \$34.2 billion in the U.S. and \$66 billion in China. *Id.*

⁹¹ Fabricio Vieira, *Valor das Empresas na Bolsa Alcança o PIB*, FOLHA DE SÃO PAULO, June 16, 2008. In 1996, Brazil's stock market capitalization equaled 37% of GDP and in 2000 37% of GDP. *Id.*

⁹² There is also empirical support for the link between better corporate governance and better corporate performance in Brazil. Based on a large sample 2004 survey of publicly traded Brazilian firms, Bernard Black, Antonio Gledson de Carvalho and Erica Gorga find a positive statistically significant relation between quality of governance and corporate performance as measured by Tobin's *q*. Bernard Black et. al., *Does One-Size-Fit-All in Corporate Governance? Evidence from Brazil* (working paper, 2009), available at <http://ssrn.com/abstract=1434116>.

⁹³ Recent empirical work suggests that better corporate governance standards contributed to the stock prices of companies listed on the São Paulo Exchange premium listing segments (Level 1, Level 2 and the Novo Mercado) being less sensitive to changes in the market than the price of stocks listed on the traditional segment and, in general having lower volatility. Pablo Rogers & Jose Roberto Securato, *Corporate Governance and Volatility in the Capital Markets: Brazil Case Study*, 7 J. CORP. OWNERSHIP & CONTROL 43 (2009). These findings, however, precede the 2008 financial crisis, a time in which the share prices of firms listed on the Novo Mercado fell more than those of companies listed on the traditional segment. The stock prices of Novo Mercado firms have since then largely recovered.

of 2009, which, at approximately \$8 billion, was the largest in its history.⁹⁴ The Novo Mercado's apparent success to date has not gone unnoticed by stock exchanges in other developing countries. Major stock exchanges in India and the Philippines are drawing on Brazil's experiment as they design their own corporate governance listing standards.⁹⁵

III. Other Examples of Regulatory Dualism in Corporate Law

Brazil's Novo Mercado offers a paradigmatic example of regulatory dualism as a self-conscious strategy in which the reformist regulatory regime was deliberately implemented to circumvent a strong version of the Olson problem. But there are other prominent examples of regulatory dualism that serve to diffuse political opposition from existing elites. Because the Olson problem is pervasive, and in no way limited to developing countries,⁹⁶ regulatory dualism has broad application as a means of facilitating economic growth. Nor is regulatory dualism wholly a recent legal development.⁹⁷ The medieval law merchant was arguably an example, in which a transnational body of commercial law – distinct from the general law of the era, and with its own separate courts – arose among merchants across Europe.⁹⁸

We examine here three further examples of regulatory dualism in the reform of corporate and capital markets law: one similar to Brazil's except for its conspicuous failure, and two others that differ markedly from the Brazilian approach in the source of authority for the reformist regime.

A. The Frankfurt Neuer Markt

Although Germany had vigorous equity markets in the early twentieth century, by the end of World War II its economy became largely dependent on bank financing.⁹⁹

⁹⁴ Lynn Cowan & Rogerio Jelmayer, *Year's Biggest IPOS Make Debuts*, WALL ST. J., Oct. 8, 2009. Banco Santander S.A., as other banks going public in recent years, opted for a Level 2 listing.

⁹⁵ *Inspiration from the East: Encouraged by the Novo Mercado's Success, the Philippines and India Create Special Listing Tiers in Their Own Stock Exchanges*, 72 CAPITAL ABERTO (Aug. 2009).

⁹⁶ OLSON, *supra* note 3, at 3 (citing Britain after World War II as the most notable case of relative decline owing to the harmful influence of powerful interest groups).

⁹⁷ TULLIO ASCARELLI, PANORAMA DO DIREITO COMERCIAL (1947) (noting that duality in private law, in which a new legal regime emerges parallel to the traditional system, only to later achieve universal application, is pervasive in legal evolution).

⁹⁸ See, e.g., A. CLAIRE CUTLER, PRIVATE POWER AND GLOBAL AUTHORITY (2003) (arguing that “medieval law merchant supported a predominantly private commercial order, generating merchant laws and institutions that operated outside the local political economy of the period”); Francesco Galgano, *Lex Mercatoria* (2001) (describing the history of the lex mercatoria as a body of law directly created and applied by the merchant class, without the mediation of general politics); ASCARELLI, *supra* note 97 (noting that the economic demands relating to the dynamism of the emerging commerce demanded a departure from the civil law principles, which continued to govern agrarian relations). But see Stephen E. Sachs, *From St. Ives to Cyberspace: The Modern Distortion of the Medieval ‘Law Merchant,’* 21 AM. U. INT’L L. REV. 685 (2006) (arguing that, contrary to the conventional view, medieval merchants were largely subject to local laws and customs, which varied substantially).

⁹⁹ Eric Nowak, *Investor Protection and Capital Market Regulation in Germany* 426, in THE GERMAN FINANCIAL SYSTEM (Jan Pieter Krahn & Reinhard H. Schmidt eds., 2004) (noting that prior to World War I, Germany's stock markets boasted nearly 1,200 listed companies compared to the approximately 600 firms listed on the New York Stock Exchange). See Franks et. al., *supra* note 2 (describing German stock markets prior to the mid-20th century).—

From 1965 to 1996, only 434 companies went public on the Frankfurt Deutsche Börse, Germany's principal stock exchange.¹⁰⁰ Germany's publicly traded corporations were mostly large, mature firms, displaying an average 55 years of existence by the time of their IPO.¹⁰¹

While the bank-centered corporate finance regime served Germany well in the immediate post-war period, a wave of bankruptcies in the 1980s focused attention on the highly leveraged capital structure of German firms and the perceived "equity gap" compared to other developed economies.¹⁰² In 1987, the Frankfurt Stock Exchange decided to address this problem by lowering entry barriers to equity markets. The compromise solution was to create, in addition to the existing Official Market (*Amtlicher Handel*) and the Unregulated Market (*Freiverkehr*), an intermediate Regulated Market (*Geregelter Markt*) subject to less stringent requirements than the Official Market in order to accommodate the needs of small and mid-cap firms.¹⁰³ The Regulated Market, however, failed to attract a significant number of listings and afford sufficient liquidity.¹⁰⁴

Ten years later, to halt the flight of German new listings to the NASDAQ, the Frankfurt Stock Exchange in May 1997 created yet another listing segment. The Neuer Markt targeted high-growth firms in a period in which European stock exchanges were competing to provide exit opportunities to venture capitalists.¹⁰⁵ The need to find financing alternatives for start-ups was especially acute in Germany, since banks had come under increasing criticism for their unwillingness to finance high-tech firms.¹⁰⁶ While its predecessors aimed at attracting entrants by exempting young firms from the most stringent requirements for a mainstream listing, the Neuer Markt took the opposite stance. Like Brazil's Novo Mercado, the Neuer Markt was more, not less, regulated than Germany's official segment, whose requirements were left untouched by this new initiative.¹⁰⁷ As La Porta et al. have recognized, the Olson problem was a driving force behind Germany's creation of the Neuer Markt, as established and bank-dominated

¹⁰⁰ MB Associados, *supra* note 11 (citing Simon Johnson, *Does Investor Protection Matter? Evidence from Germany's Neuer Markt*, MIT Manuscript, 1999).

¹⁰¹ John Schmid, *Menu is Meager at 'New' Exchanges*, INT'L. HERALD TRIB., Mar. 12, 2003.

¹⁰² Hans-Peter Burghof & Adrian Hunger, *Access to Stock Markets for Small and Medium Sized Growth Firms: The Temporary Success and Ultimate Failure of Germany's Neuer Markt* (2003) at 2, available at http://papers.ssrn.com/sol3/papers.cfm?abstract_id=497404.

¹⁰³ *Id.* at 3.

¹⁰⁴ *Id.* at 4.

¹⁰⁵ The London Stock Exchange inaugurated the trend with the launch of the Alternative Investment Market (AIM) in 1995, and was followed by the Belgium-based pan-European Easdaq and Paris Bourse's Nouveau Marché in 2006. See Gail Edmonson & Heidi Dawley, *Europe Finally Wakes Up to High-Tech Startups: Its Young Companies Begin to Attract the Capital They Desperately Need*, BUSINESSWEEK, May 26, 1997. According to the Neuer Markt Rules and Regulations, "issuers are, in particular, innovative enterprises which develop new sales markets, utilize new methods of, for example, procurement, production or distribution, or offer new products and/or services, and whose activities can be expected to generate high turnover and profits in the future."

¹⁰⁶ Sigurt Vitols, *Frankfurt's Neuer Markt and the IPO Explosion: Is Germany on the Road to Silicon Valley?*, 30 ECON. & SOC'Y 553, 554 (2001).

¹⁰⁷ See, e.g., Erik Theissen, *Organized Equity Markets* at 140, in *THE GERMAN FINANCIAL SYSTEM* (Jan Pieter Krahn & Reinhard H. Schmidt eds., 2004)

German firms were generally hostile to changes in their legal regime.¹⁰⁸ In short, the Neuer Markt was a clear example of regulatory dualism.

Neuer Markt firms were required to sell only common, rather than non-voting preferred shares; ensure a 25% minimum free-float; report earnings quarterly in English and German, in accordance with IAS or U.S. GAAP; provide for a lock-up prohibiting sales by the original shareholders for six months after the initial offering; obtain two sponsors responsible for the liquidity and tradability of the shares; and raise at least 50% of the offer's value in new equity. Only high-growth firms having at least a three-year track record and a minimum of €1.5 million in net equity were eligible for a Neuer Markt listing.¹⁰⁹ The Deutsche Börse could deny a Neuer Markt application despite a firm's compliance with the segment's formal requirements when it deemed that the admission would be "contrary to the protection of the interests of the investors" or "lead to damage of significant public interests."¹¹⁰ An arbitration panel was organized by the Deutsche Börse to decide disputes about Neuer Markt admission and enforcement decisions.¹¹¹

Notwithstanding the initial skepticism about an over-regulatory approach,¹¹² the Neuer Markt was quite successful in its first years. At its peak in early 2000 it had more than 300 listings and a market capitalization exceeding \$400 billion.¹¹³ Moreover, the Neuer Markt's focus on individual investors helped to more than double the equity ownership of German adults over a three-year period.¹¹⁴ The media credited the segment for overriding Germany's legendary lack of an "equity culture."¹¹⁵

The Neuer Markt became the envy of its European competitors, giving rise to the rapid adoption of regulatory dualism in other countries.¹¹⁶ High-growth listing segments in Amsterdam, Brussels, Paris, and Milan attempted to emulate at least some of the Neuer Markt's requirements.¹¹⁷ A few years later, Europe would have some 30 special listing segments for small-cap companies.¹¹⁸ In addition, the Frankfurt Stock Exchange sought to reproduce the Neuer Markt in a 1999 experiment by creating the SMAX, a premium

¹⁰⁸ La Porta et al., *Investor Protection and Corporate Governance*, *supra* note 2 (noting that "captains of German industry have accepted [the Neuer Markt] because their firms were not directly affected").

¹⁰⁹ Neuer Markt Rules and Regulations.

¹¹⁰ *Id.*, § 2.2.2(2). The listing committee rejected about 20% of the applicants based on a "subjective" approach. See Stewart Fleming, *The Neuer Markt's Wild Ride*, 42 INSTITUTIONAL INVESTOR (1999).

¹¹¹ Neuer Markt Rules and Regulations, § 2.1.6.

¹¹² Sharon Reier, *Full Disclosure: Where (Outside the U.S.) to Find Company Data: On the Continent, a Hodgepodge of Local Standards and Laws*, INT'L HERALD TRIB., Nov. 6, 1999 (citing early remarks by market participants that the Neuer Markt would "die in beauty" as the rigorous standards would discourage listings).

¹¹³ Mark Lander, *German Technology Stock Market to Be Dissolved*, N.Y. TIMES, Sept. 27, 2002.

¹¹⁴ See Vanessa Fuhrmans, *Playing by the Rules: How Neuer Markt Gets Respect*, WALL ST. J., Aug. 21, 2000. The percentage of German adults holding shares soared from approximately 9% in 1997 to 20% in 2000. *Id.*

¹¹⁵ *Neuer Markt's Global Ambitions*, Marketwatch, June 23, 1999.

¹¹⁶ *La Guerre des Nouveaux Marchés D'Actions Fait Rage en Europe*, LE MONDE, Feb. 10, 1999.

¹¹⁷ Fuhrmans, *supra* note 114.

¹¹⁸ Schmid, *supra* note 101.

listing standard aimed at small and medium-cap firms in the Old Economy which contained most of the Neuer Markt's transparency requirements.¹¹⁹

The Neuer Markt's rigorous requirements were only one component of the segment's success. Another critical element was the general optimism about the New Economy, which boosted the segment's share price performance. From the onset, the Deutsche Börse emphasized the segment's flagship index as a marketing device.¹²⁰ In the three years after its launch, the Neuer Markt index rose nearly tenfold, which helped lure additional investors.¹²¹

The Neuer Markt flourished so long as its two pillars – corporate governance integrity and confidence in the New Economy – remained intact. The burst of the dot.com bubble in mid 2000 unsettled both foundations. The Neuer Markt stock index eventually lost 96% of its peak value. But market corrections based on the expected performance of high-tech firms were not the only cause of the stock price decline. The Neuer Markt also witnessed an array of corporate scandals, ranging from insider trading to outright fraud, which progressively tarnished the segment's reputation.

MobilCom, whose share prices initially followed the index's ten-fold rise, was left on the brink of bankruptcy after a self-dealing scandal involving an investment vehicle owned by its founder's wife.¹²² Comroad, a traffic-navigation technology firm, turned out to have fabricated nearly all of its reported revenue.¹²³ Internet advertiser Adpepper reduced its earnings expectations less than one month after its IPO.¹²⁴ The required sponsors for Informatec, a software company, quit after the firm made overly rosy statements about its pending contracts.¹²⁵ The founder of EM.TV, a media company, breached the mandatory lock-up requirement and sold nearly 200,000 shares within six months of the initial offering.¹²⁶ Moreover, a regulatory loophole allowing company founders to sell their shares after the initial six-month lock-up period without market disclosure consistently distorted trading in less liquid Neuer Markt firms.¹²⁷

In fact, the Neuer Markt experienced enforcement deficiencies from the outset. As of mid-2000, it had issued numerous private reprimands, but had not levied a single fine.¹²⁸ It was not until 2001 that the Deutsche Börse raised its maximum fine for individual violations tenfold to 100,000 Euros, which was still a modest amount for most companies.¹²⁹

Lax enforcement of the existing requirements was not the only weakness of the

¹¹⁹ Fuhrmans, *supra* note 114. Little more than one year after its launch, the SMAX featured 125 listings. *Id.*

¹²⁰ Burghof & Hunger, *supra* note 102, at 8.

¹²¹ Brian M. Carney, *Teutonic Tailspin: A German Market's Rise and Fall*, WALL ST. J., Oct. 1, 2002.

¹²² *Id.*

¹²³ *Id.*

¹²⁴ Edmund L. Andrews, *Think Nasdaq, Now Double the Pain*, N.Y. TIMES, Jan. 28, 2001.

¹²⁵ David Fairlamb, *Down and Out in Frankfurt: The Neuer Markt's Woes Include a Tech-Stock Slump, Management Wrangles, and Fierce Rivalry from London*, BUSINESSWEEK, Oct. 23, 2000.

¹²⁶ Andrews, *supra* note 124.

¹²⁷ *Id.*

¹²⁸ Fuhrmans, *supra* note 114.

¹²⁹ See Neuer Markt Rules and Regulations, § 2.1.4; Jack Ewing, *The Neuer Markt Needs a Watchdog with Teeth*, BUSINESSWEEK, Jan. 8, 2001.

Neuer Markt that the market crisis exposed. Revising the listing standards to address new circumstances also proved to be problematic. Because those standards were embodied in a private legal agreement between the Deutsche Börse and each listed firm, the Neuer Markt initially touted its flexibility to adjust its rules in light of changing conditions.¹³⁰ However, the seeming advantage of the Neuer Markt's private contractual character soon backfired. German courts concluded that the Neuer Markt's private law nature prevented the Deutsche Börse from unilaterally revising the listing rules without regard to the interests of issuers, thus frustrating the Exchange's attempt to automatically delist "penny stocks" following the market crash.¹³¹

Just as the Neuer Markt's reputation for firm quality and market integrity generated positive externalities in its first years, the proliferation of corporate scandals and the economic collapse of so many of its firms eventually undermined the credibility of the entire pool.¹³² Indeed, much of the initial pressure to strengthen the existing listing requirements did not come from investors or regulators, but from some of the segment's top listed firms, which threatened to leave the segment if the exchange did not act quickly to rebuild its reputation.¹³³ The Neuer Markt, once a quality seal, became a "synonym for failure."¹³⁴ After significant brand damage, the Deutsche Börse discontinued the Neuer Markt altogether in 2003.¹³⁵

What lessons are there to be learned from the rise and fall of Frankfurt's Neuer Markt? First, the Neuer Markt exposed some of the pitfalls of regulatory dualism when implemented by private regulatory organizations. The willingness of stock exchanges to effectively enforce listings requirements, and their ability to update these standards in light of changing circumstances, clearly matter. Moreover, the Neuer Markt's narrow industry focus on high-tech companies turned out to be a major liability when macro-economic conditions changed, thus suggesting that a more diversified "new market"

¹³⁰ Fuhrmans, *supra* note 114.

¹³¹ Josef Tobien & Olaf Schick, *New Listing Regulations*, INT. FIN. L. REV. (Oct. 2001); Dewey Ballantine LLP Information Memorandum, *End of Neuer Markt* (Oct. 15, 2002).

¹³² Rachel Stevenson, *Scandals and Bankruptcies Destroy Germany's Neuer Markt*, THE INDEPENDENT, Sept. 27, 2002 (citing an investor's statement that while the Neuer Markt was initially a "high-profile index," it eventually became "the last place you would want to list a business because of the negative associations."). See also, Coffee, *supra* note 47, at 1805 (attributing the debacle of the Neuer Markt to "the strength of the network externalities that link firms traded on the same high profile market").

¹³³ Neal E. Boudette & Alfred Kueppers, *Frustrated Neuer Markt Members Push for Tightening Listing Rules*, WALL ST. J., July 11, 2001.

¹³⁴ Lander, *supra* note 113.

¹³⁵ The elimination of the segment was part of a broader overhaul of the Frankfurt Stock Exchange listing standards. The regulatory regime remained dual, as the new listing structure was overtly based on a "one market, two standards" approach. However, the new system was arguably the reverse of a regulatory dualism strategy, with the established firms subject to the most rigorous requirements. Deutsche Börse, *Stocks and Standards: What's Changing in Deutsche Börse's Market Segments* – N.8 (2002) (noting that the "harmonization of standards governed by public law increases rule enforcement and provides legal certainty, factors which are essential to restore investor confidence"). The new entry-level General Standard is subject to federal law requirements applicable to all companies listed on the Frankfurt Stock Exchange. It is aimed at small and medium-cap firms seeking domestic investors and a cost-effective listing. The more rigorous Prime Standard incorporates, in addition to the General Standard provisions, the transparency requirements of the Neuer Markt, such as quarterly reports, periodic meetings with analysts and financial results in accordance with IAS or U.S. GAAP. Small and high-growth firms are welcome to join this segment, but they are included in special industry indices.

strategy is more likely to survive over time. We address each of these issues in greater detail in Part V below. Second, timing and luck are critical; were it not for a major bubble burst in its early years, the Neuer Markt might well have survived. Finally, failure might not mean total failure. The Neuer Markt ultimately collapsed, but in the meantime it induced a significant rise in stock ownership among German households, thus increasing the constituencies pushing for greater investor protection. The Neuer Markt's disclosure standards, once exceptional, are now mandatory for all listed firms in Germany.

B. Corporate Chartering in the United States

The success of the United States in developing a strong body of investor protection law can be understood, in important part, as the fruit of an ongoing system of regulatory dualism. To be sure, the most significant pieces of investor protection legislation in the United States, the Securities Act of 1933 and the Securities Exchange Act of 1934, are mandatory in nature and apply to all publicly traded corporations alike. But these statutes were enacted during the Great Depression following the stock market crash of 1929, in a period of broad regulatory overhaul. That is, much of the law protecting investors in the United States emerged in a period of cataclysm – typical of the circumstances in which, in Olson's view, the blocking power of existing elites can be overcome.

In the less cataclysmic political climate that both preceded and followed the 1930s, however, an important driver of legal evolution in the corporate arena has been the U.S. system of state-level corporate chartering. This system combines an “internal affairs doctrine” (according to which the laws of the state of incorporation govern the relationship between shareholders, directors, and managers) with freedom of choice as to state of incorporation without regard to the location of the firm's operations. The existing literature views the system largely in terms of regulatory competition. Advocates famously see the result as a “race to the top,” with competition for charters putting pressure on all states to improve their corporate law. Critics, in contrast, see a “race to the bottom,” putting pressure on all states to eliminate protections for noncontrolling shareholders. And skeptics see little evidence of competition at all, with only Delaware making much effort to attract corporate charters.¹³⁶ It is a mistake, however, to view the U.S. system of corporate chartering as if all states were seeking (or failing to seek) to serve the chartering needs of the same firms, as in regulatory competition. Rather, that system is, in large part, best interpreted as an example of regulatory dualism.

¹³⁶ The canonical sources for the two polar views of the effects of regulatory competition are, of course, William L. Cary, *Federalism and Corporate Law: Reflections upon Delaware*, 83 YALE L.J. 663, 5 (1974), and Ralph K. Winter, Jr., *State Law, Shareholder Protection and the Theory of the Corporation*, 6 J. LEGAL STUD. 251 (1977). We will not offer here a review of the large literature that has been built on the theme of regulatory competition.

1. General Corporation Chartering

Empirically, U.S. corporations either incorporate in the state of their principal place of business or in Delaware.¹³⁷ The motivations for incorporating a firm in its home state appear very much of the Olson type.¹³⁸ Local businesspersons have strong influence on local politicians and courts, and hence on the structure of state corporate law – including protection from takeovers, and particularly takeovers from out of state. State legislatures have not only enacted anti-takeover statutes to protect local firms from hostile threats in general, but have also passed legislation aimed at shielding specific target companies from an imminent or potential bid.¹³⁹ There are abundant examples of state-level legal reforms that have been hindered by local interest groups.¹⁴⁰ While there is good reason to believe that Delaware corporate law is more managerialist than efficiency calls for,¹⁴¹ it is distinctly less protective of the interests of controlling shareholders, managers, and employees than is the corporate law of most other states. Delaware was, for example, conspicuously a latecomer with respect to antitakeover legislation, and its constraints on hostile bids are generally milder than those in other states.¹⁴²

Incorporating in one's home state also increases the chances that corporate litigation will take place in the courts of that state, where judges are more likely to be particularly sensitive to the interests of local businesspersons. And, going in the other direction, incorporating locally is probably an effective signal that one considers one's interests focused in the home state, and hence increases one's local political influence.

Delaware, meanwhile, has special characteristics (such as its size, sunk investment in judicial services, and economic dependence on franchise taxes) that, as Roberta Romano has prominently observed, render its promise of an adequate corporate law regime credible and relatively immune from political interference due to constituency

¹³⁷ Robert Daines, *The Incorporation Choices of IPO Firms*, 77 N.Y.U. L. REV. 1559, 1572 (2002) (describing a bimodal competition system in which nearly 95% of firms which incorporate outside of their home state choose Delaware).

¹³⁸ See, e.g., Marcel Kahan & Ehud Kamar, *The Myth of State Competition in Corporate Law*, 55 STAN. L. REV. 679, 735 (2002) (noting that politics drives the laws of states other than Delaware, which are more likely to favor management than if they were motivated by competition).

¹³⁹ See, e.g., Henry Butler, *Corporate-Specific Anti-Takeover Statutes and the Market for Corporate Charters*, 1988 WIS. L. REV. 365; Roberta Romano, *The Future of Hostile Takeovers: Legislation and Public Opinion*, 57 U. CIN. L. REV. 457, 461 (1988); Kahan & Kamar, *supra* note 138; Roberta Romano, *The Political Economy of Takeover Statutes*, 73 VA. L. REV. 111 (1987) (noting that the adoption of Connecticut's takeover statute was driven by one major company incorporated in the state); Robert Daines, *Do Staggered Boards Affect Firm Value? Massachusetts and the Market for Corporate Control* (working paper, 2001) (Massachusetts imposed a staggered board on all Massachusetts corporations in response to a request by one firm's management for protection from a single acquirer).

¹⁴⁰ See Kahan & Kamar, *supra* note 138. For example, New York labor unions have been able to block the elimination of section 630 of the Business Corporation Law, which holds the ten largest shareholders of a corporation personally liable for unpaid employee wages. Similarly, public interest lawyers and labor unions prevented the creation of a chancery court in Pennsylvania. *Id.*

¹⁴¹ See, e.g., Ronald J. Gilson, *Unocal Fifteen Years Later (And What We Can Do about It)*, 26 DEL. J. CORP. L. 491 (2001); Bernard Black & Reinier Kraakman, *Delaware's Takeover Law: The Uncertain Search for Hidden Value*, 96 NW. U. L. REV. 521 (2002).

¹⁴² Kahan & Kamar, *supra* note 138.

considerations.¹⁴³ Complementing, and perhaps making possible these structural barriers to local political influence, the small state of Delaware also lacks concentrations of labor organizations, shareholders, and other stakeholders with a direct interest in – and the political clout to influence – corporate law. Thus, giving local entrepreneurs the choice of incorporating either in their home state or in Delaware permits established firms to use their local political influence to maintain a protectionist legal regime of corporate law, while at the same time giving access to relatively efficient capital markets for those companies that need to raise substantial amounts of capital on favorable terms that reflect adequate shareholder protection.

Viewed from this perspective, Delaware corporate law is complementary to, rather than in competition with, the corporate law of other states. The other states are not competing for corporate charters from out of state, or even from within state. Rather, they are providing corporate law to their domestic constituents in response to political pressure from those constituents. Without Delaware serving as an escape valve for corporations that want and need a relatively efficient capital markets regime, there would presumably be much greater pressure to reform the corporate laws of other states to orient them more strongly toward the interests of noncontrolling shareholders – or, alternatively, to displace parochial state corporation law entirely by nationalizing corporate chartering.¹⁴⁴ Thus, rather than serving as a competitive constraint on protectionism in the corporate law of other states, Delaware corporate law arguably permits other states to offer law that is *more* protectionist than they otherwise could. And conversely, without state-level corporation statutes offering a degree of protectionism for those in control of local firms, a corporation law as market-oriented as Delaware's might be politically unsustainable. If, for example, the current system of state-level regulatory dualism were replaced with a uniform national system of federal corporate chartering, protectionist political pressures might well produce a body of federal corporate law that is less efficiently shareholder-oriented than is the law of Delaware.

The U.S. system of regulatory dualism in corporate chartering might seem, in contrast to Brazil's Novo Mercado, not an example of a strategy adopted to cope with the Olson problem, but rather simply a fortuitous natural concomitant of a well-developed system of federated lawmaking. And clearly the U.S. system was not self-consciously designed and adopted by a discrete group of actors, as was the Novo Mercado, to circumvent long-standing political obstacles to reform. We won't examine here the complex origins of the U.S. chartering system, which involved issues of competition policy in addition to corporate governance and finance.¹⁴⁵ But its evolution and, particularly, its continuing survival quite plausibly reflect, in important part, its virtues in handling the Olson problem through an effective system of regulatory dualism.

It is clear, in any event, that the U.S. system of corporation chartering, with its liberal choice of law rule, was not dictated by U.S.-style federalism. The legislators and

¹⁴³ See, e.g., Roberta Romano, *The States as a Laboratory: Legal Innovation and State Competition for Corporate Charters*, 23 YALE J. REG. 209 (2006).

¹⁴⁴ See, e.g., Mark J. Roe, *Delaware's Competition*, 117 HARV. L. REV. 588 (2003) (arguing that the main legal competitor of Delaware is the federal government, not other states).

¹⁴⁵ See Herbert Hovenkamp, *American Merger Policy and the Failure of Corporate Law*, in ENTERPRISE AND AMERICAN LAW 1836-1937 241-67 (1991).

courts that, in the late 19th and early 20th century, created the U.S. system of general corporate chartering, and the interest groups behind the legislatures and courts, could have chosen sharply different alternatives. Most obviously, corporations could have been required to incorporate in the state where their principal place of business was located, as under the “real seat doctrine” that prevailed in much of Europe until the last decade.¹⁴⁶ Alternatively, a system of federal chartering could have been adopted that displaced state-level bank chartering. The system of bank chartering that developed in the U.S. in fact incorporated both of those approaches simultaneously, and never developed a system of regulatory dualism. The result, until quite recently, was an extreme version of the Olson problem in U.S. credit markets that was strongly at variance with the relative efficiency of the country’s markets for equity capital.

2. *Bank Chartering*

The U.S. banking industry was a conspicuous exception to the liberal choice of law approach adopted for chartering industrial corporations. Throughout the 19th and most of the 20th century, nearly all states excluded from doing business within their territory any bank chartered in another state. Indeed, most states went further and also either prohibited or severely restricted *intrastate* branching by banks.¹⁴⁷ The states finally began to abandon these restrictions on interstate and intrastate banking in the late 1970s. Only in 1994, by which time most states had eliminated these restrictions, did Congress finally empower banks in general to engage in nation-wide business, free of state restrictions.¹⁴⁸

The reason for the limitations on interstate and intrastate branching was local interest group pressure, which dominated the political economy of American banking from the Jacksonian era onward. Established local bankers did not want competition from out-of-state banks or from other, larger in-state banks. In this they presumably had the sympathy of established local merchants who already had well-developed relationships with local banks, and hence privileged access to the limited supply of credit that could be provided with the funds obtained from local depositors. New branch offices of banks from other regions would have meant increased access to capital for the merchants’ aspiring competitors.¹⁴⁹ The losers from the branch banking restrictions, meanwhile, were the firms that could not be established or grow because of the lack of credit, the potential consumers and suppliers of those firms, and bank depositors, who suffered from the absence of competition for their deposits from distant banks and borrowers.¹⁵⁰ The losing groups were, however, poorly organized in political terms. In

¹⁴⁶ See Part III(C).

¹⁴⁷ The history of these restrictions is recounted briefly in Geoffrey Miller, *Interstate Banking and the Court*, 1985 SUP. CT. REV. 179, 181-83.

¹⁴⁸ Riegle-Neal Interstate Banking and Branching Efficiency Act of 1994, Pub. L. No. 103-328, 108 Stat. 2338 (codified as amended at 12 U.S.C. § 36 (2006)).

¹⁴⁹ Rajan & Zingales, *supra* note 3, argue more generally that incumbents oppose financial market development – here the allowance of interstate banking – because it increases competition.

¹⁵⁰ Prasad Krishnamurthy, *Financial Market Integration and Firm Growth: Evidence from U.S. Bank Deregulation* (working paper, 2009), provides empirical evidence of the effects of U.S. branch banking restrictions on business growth, and surveys as well the previous literature on the subject.

short, for most of its history the U.S. banking industry suffered severely from the Olson problem.

There was an early effort to break this Olsonian stranglehold that nearly succeeded. As Olson would predict, it happened in a revolutionary moment, 1863, when the nation was deep in civil war, the Southern states were out of the legislature, and the national government was firmly in the hands of the Republicans. In that year and the two years following, Congress provided for the chartering of national banks that would have exclusive authority to issue a uniform national currency. The legislation simultaneously imposed a confiscatory 10% tax on the issue of banknotes by state-chartered banks. Because banknotes were a principal source of income for the state banks, these enactments were expected to effectively eliminate state-chartered banks and replace them with a nationwide system of federally chartered banks. In fact, the number of state banks decreased by more than 80% in the immediately succeeding years. But the state banks subsequently found new sources of business – principally through the development of checking accounts – and began to rebound. And, once the political equilibrium returned to the status quo ante bellum, the state banks were allowed to flourish under their protectionist state-level chartering regimes, while the newly created national banks were subjected to restrictions that prevented them from offering serious competition to state banks. In particular, subsequent federal legislation provided that federally-chartered banks could do interstate business, or maintain intrastate branches, only if state-chartered banks had the same authority under local state law.¹⁵¹

These developments gave rise to what is commonly termed a “dual banking system,” under which a bank had the alternative of seeking either a federal or a state charter. The result was *not*, however, a meaningful degree of regulatory dualism in the sense that we use the term here. The federally-chartered national banks did not ultimately offer a solution to the Olson problem in banking.¹⁵²

The consequence was extraordinary fragmentation in American banking until the last decades of the 20th century. This pattern contrasted strongly with the highly concentrated nationwide banking systems in other developed nations. The best empirical estimates suggest that this fragmentation of the American banking system produced substantial inefficiencies in the allocation of credit to businesses and in the rates of return available to depositors.¹⁵³ It is generally thought responsible for the small role of bank-centered financing for large industrial firms in the United States as opposed to other leading industrial nations.¹⁵⁴

The United States never solved the Olson problem in consumer banking through the mechanisms of political economy, including in particular regulatory dualism. The old chartering system finally collapsed in recent decades principally because of changes in

¹⁵¹ See Miller, *supra* note 147; JONATHAN MACEY & GEOFFREY MILLER, *BANKING LAW AND REGULATION: CASES AND MATERIALS* 8-9 (2d ed., 1997).

¹⁵² On the lack of real choice of regulation offered by this “dual” system, see Henry Butler & Jonathan Macey, *The Myth of Competition in the Dual Banking System*, 73 CORNELL L. REV. 677 (1988). Butler and Macey emphasize that maintenance of this inefficient regulatory regime benefited yet another entrenched interest group, namely the regulators.

¹⁵³ See Krishnamurthy, *supra* note 150.

¹⁵⁴ See, e.g., MARK ROE, *STRONG MANAGERS, WEAK OWNERS* 54-59 (1996).

technology that permitted institutions other than banks, as well as banks located in other states, to provide effective competition to state-chartered local banks despite the efforts of the states to shield them.¹⁵⁵ Until that happened, individual states were generally incapable of breaking the political stranglehold of local bankers and permitting out-of-state banks to do business in the state, or even permitting intra-state banks to compete with each other beyond the single community in which they were located. Nor were political forces at the national level capable of overcoming the power of local bankers and passing legislation either (1) adopting the approach taken to chartering of industrial corporations by denying states the authority to exclude firms incorporated in other states, or (2) giving federally-chartered banks authority to operate nationwide, free of restrictive state regulation. Either of these approaches, and particularly the first, could well have led to a regime of regulatory dualism like that which developed for chartering industrial corporations, with state-chartered firms gaining some degree of insulation against market pressures while sacrificing, perhaps, some degree of access to credit or other market opportunities available to banks chartered under the alternative nationally-oriented regime.

Why was the Olson problem more resistant to solution in banking than among industrial firms? A plausible explanation lies in the structure of the banking industry in the first half of the 19th century, with its large numbers of local banks that had relatively homogeneous interests in shielding themselves from competition. Those banks naturally formed a powerful interest group – and one that could probably count on support, as suggested above, from established firms to which they provided credit. Moreover, the restrictive chartering system for these banks, once in place, assured that the industry would retain its original structure, and hence its political strength. Manufacturing firms, being more heterogeneous, perhaps could not form themselves into such an effectively coherent political force, and hence could do no better than maintain local chartering in the context of regulatory dualism. This reinforces the conclusion – suggested by Brazil’s experience – that regulatory dualism can be an effective approach to mitigating the Olson problem when it is only moderately serious, or when it is waning, but not when the elites are truly well dug in.

Perhaps, moreover, the differing degrees of protectionism afforded banking and the equity markets were themselves complementary. If, as in most of the rest of the developed world, an efficient national banking system had developed early on a scale that could provide substantial industrial financing, there might well have been less pressure in the United States for an efficient system of equity markets, and the U.S., like Europe, would have adhered much longer to a system of local state control over the chartering of industrial firms and the less minority-shareholder-friendly approach to corporate law that such a system permits. Conversely, if the U.S. had not developed a relatively efficient system of law to govern its equity markets, there might well have been much stronger pressure to reform its system of bank chartering to permit the emergence of nationwide banks of sufficient size to meet the capital needs of large industrial firms. In a sense,

¹⁵⁵ See MACEY & MILLER, *supra* note 151, at 27-29.

then, the contrasting systems of chartering for banks and industrial firms in the United States also constitute regulatory dualism.¹⁵⁶

C. The EU Choice of Corporate Law Regime: *Centros* and the *Societas Europaea*

Two recent changes in the European Union choice of corporate law regime operate as a form of regulatory dualism by creating a more efficient choice for small growth-oriented companies while at the same time protecting the positions of the established political elite by retaining existing regulation for the companies critical to those positions. In both cases, the dual regulatory regimes were imposed by an external force, in one case by the European Court of Justice through its *Centros* decision and in the other by the EU's adoption of a regulation and directive allowing the formation of a corporation under European, as opposed to member state, law.

1. *Centros* and Choice of State of Incorporation

Following the European Court of Justice's decision in *Centros*, the European Union's approach to corporate law regulation, like the U.S. system that it increasingly

¹⁵⁶ The role of the New York Stock Exchange (NYSE) in the late nineteenth and early twentieth centuries also contained some elements of regulatory dualism. Like the Brazilian Novo Mercado, the NYSE, a private organization, imposed stricter standards on corporations than did state corporation law. Thus, in 1916 the NYSE began requiring newly listed corporations to provide quarterly statements of earnings and balance sheets, and in 1926 it famously banned the issuance of non-voting stock by listed companies. Contemporary commentators described the NYSE Listing Committee as requiring "a most elaborate and painstaking disclosure of the material facts in connection with the corporation, which is subjected to a searching analysis by the committee prior to the admittance of stock trading." ADOLPH BERLE & GARDINER MEANS, *THE MODERN CORPORATION AND PRIVATE PROPERTY* 275 (1932). Indeed, the first SEC disclosure forms were themselves based on the NYSE listing standards, Paul J. Mahoney, *The Exchange as a Regulator*, 83 VA. L. REV. 1453, 1466 (1997), and various studies have documented the efficacy of the Exchange's early disclosure requirements. See, e.g., George J. Benston, *Required Disclosure and the Stock Market: An Evaluation of the Securities Exchange Act of 1934*, 63 AM. ECON. REV. 132 (1973) (finding significant compliance with the NYSE's disclosure requirements); George J. Stigler, *Public Regulation of the Securities Markets*, 37 J. BUS. 117 (1964) (arguing that the NYSE listing standards fared well compared to the effects of subsequent securities regulation); Carol J. Simon, *The Effect of the 1933 Securities Act on Investor Information and the Performance of New Issues*, 79 AM. ECON. REV. 295, 311 (1989) (noting that, prior to the enactment of the securities acts, investor forecasts were significantly more accurate with respect to NYSE-listed firms).

If the NYSE had enjoyed a monopoly on access to the public market for trading stock, its role might not qualify as an instance of dualism. But in fact the NYSE faced significant competition from the Consolidated Stock Exchange, the Curb Stock Exchange (later AMEX), and other regional exchanges, all of which had much more relaxed standards, John C. Coffee, Jr., *The Rise of Dispersed Ownership: The Roles of Law and the State in the Separation of Ownership and Control*, 111 YALE L. J. 1, 65 (2001), and some large family-controlled corporations – including Standard Oil of New Jersey, U.S. Tobacco, and United States Sugar – opted for Curb trading for the purpose of avoiding the NYSE disclosure requirements. ROBERT SOBEL, *AMEX: A HISTORY OF THE AMERICAN STOCK EXCHANGE, 1921-1971* 14 (1972).

The NYSE listing rules continue to impose corporate governance standards that go beyond those mandated by federal and state law, such as additional shareholder approval and director independence requirements. Today, however, the significant influence of the SEC in the enactment of such listing standards, and the relatively marginal contribution to investor protection that the NYSE standards now make when compared with mandatory law, make it difficult to view the NYSE listing rules as an instance of regulatory dualism.

resembles, effectively embodies a dual regulatory strategy.¹⁵⁷ To see this, assume that elements of German corporate governance regulation, most notably co-determination, are ill-suited to the formation and growth of new economy companies.¹⁵⁸ But reforming co-determination to eliminate the barriers to the growth of new economy companies directly confronts the Olson problem: economic growth requires regulatory reform that is blocked by existing elites whom the reform would disadvantage.¹⁵⁹ In the context of co-determination, a plausible compromise might be to exclude new economy companies from the application of the regulation, while leaving the established large industrial companies subject to the existing requirement of employee participation in corporate governance. But here we again confront the Olson problem. Politically powerful German labor unions oppose any reform of co-determination because of the concern that any change threatens the entire regime.¹⁶⁰

In this circumstance, a regime of regulatory dualism that could not be adopted by the Bundestag was externally imposed (whether or not intentionally) by the ECJ in its *Centros* decision. *Centros* allows a new corporation to incorporate in any EU state, and establish its business in any other EU state, even though the state of incorporation's corporate governance system may impose fewer restrictions than the country in which the business is actually carried out and which, prior to *Centros*, would have been applicable because of the real seat doctrine.¹⁶¹ For example, after *Centros* a biotech startup relying on German scientists for talent could incorporate in the U.K., thereby avoiding the

¹⁵⁷ *Centros Ltd. v. Erhervsog Selskabsstyrelsen*, Case C-212/97, 1999 E.C.R. 1459. For a description of the *Centros* decision in terms of the Olson problem, see Ronald J. Gilson, *Globalizing Corporate Governance: Convergence of Form or Function*, 49 AM. J. COMP. L. 329 (2001).

¹⁵⁸ While the German co-determination system is composed of a complex set of statutes, for our purposes it consists of the requirement that the supervisory boards of corporations with more than 500 employees have one-third employee representatives (Industrial Constitution Act of 1952) and those of corporations with more than 2,000 employees have one-half employee representatives (Co-Determination Act of 1976). See Katharina Pistor, *Codetermination: A Sociopolitical Model with Governance Externalities*, in EMPLOYEES AND CORPORATE GOVERNANCE 163 (Margaret Blair & Mark Roe eds., 1999) (summarizing German co-determination system).

¹⁵⁹ *Id.* (tracing the political history of worker involvement in corporate governance).

¹⁶⁰ *Id.* The analysis is not limited only to labor protections arrangements. The structure of corporate governance in a particular country may reflect a "deal" between labor and rich families, which supports the maintenance of family control through multiple voting stock and pyramid holdings in return for labor participation in governance. See Peter Högfeldt, *The History and Politics of Corporate Ownership in Sweden*, in A HISTORY OF CORPORATE GOVERNANCE AROUND THE WORLD 517, 522 (Randall Morck ed., 2005) (arguing that an alliance between wealthy families and Social Democrats led to entrenched family control of corporations in Sweden).

¹⁶¹ See *Centros*, *supra* note 184; *Überseering BV v. Nordic Construction Company Baumanagement GmbH (NCC)*, Case C-208/00, 2002 E.C.R. 9919; *Kamer van Koophandel en Fabrieken voor Amsterdam v. Inspire Art Ltd.*, Case C-167/01 2003 E.C.R. 10155. Some question remains as to whether *Centros* actually prevents Germany from protecting co-determination. While *Centros* prevents Germany from preventing German businesses from incorporating elsewhere, some argue that Germany nonetheless could impose co-determination by legislation on such "pseudo-foreign" companies regardless of their state of incorporation. See Jens Dammann, *The Future of Co-Determination*, 8 FORDHAM J. CORP. & FIN. L. 607 (2003). Germany has not passed such legislation. Even assuming that such legislation would not conflict with the treaty, the effect of *Centros* was to shift the political burden of going forward with legislation. Before *Centros*, the business community required legislation to restrict co-determination, which the labor unions could block. After *Centros*, the labor unions required legislation to overcome *Centros*, which business community could block.

eventual application of the German co-determination regime if the startup proves successful, while still retaining its German business location. At the same time, existing large German companies remain subject to co-determination because of the significant remaining barriers to shifting country of incorporation, whether through merger¹⁶² or via direct transfer of state of incorporation.¹⁶³

Thus, in practice *Centros* imposed regulatory dualism with respect to codetermination. New companies that are most likely to need access to new equity capital can opt out of co-determination by foreign incorporation and thereby avoid restrictions on efficient organizational structure.¹⁶⁴ At the same time, the sources and focus of labor's political power – existing large companies – remain subject to local regulation, at least until newly established firms become so large and numerous as to dominate the local political scene.¹⁶⁵

¹⁶² The typical method for an established company to switch its state of incorporation is to merge the existing company into a subsidiary newly formed in the destination state. While the E.U. Cross-Border Merger Directive, 2005/56/EC of 26 October 2005 on cross-border mergers of companies with share capital, OJ 2005 L 310/1, generally facilitates cross-border mergers, it is not of much help if the goal is to avoid employee governance participation. If the existing state of incorporation requires worker participation and the destination state does not, as contemplated here, the directive imposes a set of standard employee governance rules. See Mathias E. Siems, *The European Directive on Cross-Border Mergers: An International Model*, in CORPORATE MERGERS 156 (P.L. Jayanthi Reddy ed., 2008).

¹⁶³ A second method by which to shift a corporation's state of incorporation is to simply transfer state of incorporation, accomplished by dissolving the existing corporation and reincorporating it the target jurisdiction. This process is said to be unworkable. "Given the high costs involved, the time involved and the related administrative burden, with sometimes more than 35 procedural steps to overcome, this hardly ever occurs and European companies are, in practice, deprived of the possibility of moving their place of registration within the EU." Impact Assessment on the Directive on the Cross-border Transfer of Registered Office, SEC (2007) 1707 (Dec. 12, 2007). While the European Commission has determined not to proceed with a transfer of registered office directive, the proposals all assumed that employee participation would be protected in much the same fashion as in the cross-border merger directive. See *id.*, Resolution of European Parliament, 2008/2196 (INI) (March 10, 2009) (recommending a transfer of registered office directive).

¹⁶⁴ A slightly more nuanced formulation of this point recognizes that the *Centros* dual regulatory regime provides companies a choice only with respect to worker participation imposed by the corporate governance system. Worker participation imposed by other regulatory regimes, like workers councils imposed by labor law, cannot be avoided by foreign incorporation.

¹⁶⁵ To some extent, the text overstates the exit barriers confronting established German corporations. The maintenance of employee participation in governance required by the Cross-Border Merger Directive is diluted if the surviving firm then engages in another merger with a company chartered in the same member state. In that event, the Directive requires that employee participation be maintained only for an additional three years. Directive 2005/56/EC, Art. 16, sec. 7. Since the language of the directive refers only to "subsequent domestic mergers" (emphasis added), an argument is available that changes in the legal form of the surviving company other than by merger will "launder" the employee participation requirement without the three-year lag. Similarly, a German company might accomplish the same result by a division, thereby shifting the state of incorporation of a portion of its business by a non-merger technique that falls under *Centros*' freedom of establishment regime but outside the application of the Cross-Border Merger Directive and its protection of employee participation in governance. See Lone L. Hanson, *Moving and Decision Across National Borders – When Case Law Breaks Through Barriers and Overtakes Directives*, 1 EUR. BUS. L. REV. 181 (2007). Finally, simple reincorporation may be available after the European Court of Justice's decision in *Cartesio*, C-210/06, which constrains a member state from restricting reincorporation by treating it as a liquidation under local law.

2. *The Societas Europaea*

An alternative approach to avoiding co-determination that is available to German new economy companies – selecting the form of a *Societas Europaea* (SE) or “European Company” formed under EU law as opposed to the corporate law of a member state – creates a dual regulatory structure similar to that established by *Centros*. The regulation and directive establishing the *Societas Europaea*¹⁶⁶ require that a company subject to some level of co-determination before becoming a European Company remain subject to that level of employee board participation unless employees agree to changes.¹⁶⁷ Thus, a German company that has fewer than 500 employees when becoming a European Company is not subject to co-determination at all; the supervisory board of a company with more than 500 but fewer than 2000 employees is required to have only one-third worker representatives. Most important, the German company’s co-determination obligation is frozen at the time it becomes a European Company; future growth does not matter. A company with fewer than 500 employees at the time of its conversion is forever free of co-determination, and a company with between 500 and 2,000 employees will be subject only to the one-third employee director requirement regardless of further growth in its work force.¹⁶⁸ Large companies with more than 2,000 employees, however, are locked in to the requirement that one-half the supervisory board be employee representatives. As with *Centros*, the European Company provisions allow small companies to avoid co-determination, but protect existing labor influence by retaining full co-determination for large established companies.

While different in structure than the Brazilian Novo Mercado strategy, both *Centros* and the *Societas Europaea* option have similar effects on the Olson problem: they provide a mechanism that lets the new economy develop while leaving the existing power structure – labor in the case of co-determination – protected.¹⁶⁹ And like the Novo Mercado, *Centros* and the *Societas Europaea* operate in the German context not as

Notwithstanding the variety of techniques by which an established German company may with patience and subtlety escape an employee participation regime, the transactional and legal barriers stand in sharp contrast to the unfettered discretion of an early stage company simply to choose a more favorable jurisdiction in which to incorporate. The differential still operates as a dual regulatory regime.

¹⁶⁶ Regulation (EC) no. 2157/2001, *OJ L* 294/1, 10.11.2001; Directive 2001/86/EC, *OJ L* 294/22, 10.11.2001.

¹⁶⁷ Jochem Reichert, *Experience with the SE in Germany*, 4 *UTRECH L. REV.* 22, 28 (2008).

¹⁶⁸ *Id.* at 28. Reichert reports that one German company converting to a European Company form disclosed to its shareholders that one motive for making the shift was to freeze its co-determination obligation at the one-third level. See also Hors Eidenmüller et al., *Incorporating Under European Law: The Societas Europaea as a Vehicle for Legal Arbitrage*, 10 *EUR. BUS. ORG. L. REV.* 1 (2009) (finding strong evidence that firms have adopted the SE form in order to avoid or mitigate the effects of mandatory co-determination laws).

¹⁶⁹ As yet, the empirical evidence is consistent with half of the analysis: by and large, existing large firms have remained incorporated in Germany. With respect to newly formed corporations, however, the largest number of German located businesses incorporating outside Germany is small local businesses, of the sort actually involved in *Centros*, rather than, like the example in the text, venture capital-backed technology startups. See Marco Becht, Colin Mayer & Hannes F. Wagner, *Where do Firms Incorporate? Deregulation and the Cost of Entry*, 14 *J. CORP. FIN.* 241 (2008) (providing empirical evidence concerning German based firms incorporating in the UK). This was the result of advertising in Germany offering to provide a UK incorporation at low cost. Barriers to cross border incorporation remain, most notably local lawyers’ lack of familiarity with local law and language differences.

invitations to regulatory competition, but as instances of regulatory dualism in which new and established companies are treated differently, preserving the position of politically powerful groups while at the same time facilitating new companies' access to more efficient organizational structures.

IV. Related Regulatory Strategies

Regulatory dualism shares some characteristics with other techniques used to manage the transition from one regulatory regime to another, but has important differences that help identify its proper domain. In this part, we focus on several of these alternative techniques. Again, we focus particularly on applications in corporate law, though all these techniques are applied much more generally.

A. Grandfathering

Grandfathering, as the term is typically used, involves the promulgation of reformist rules that are mandatory for firms (or other persons) that become subject to the regulatory regime only after the reformist rules are enacted, while firms that had been subject to the pre-existing regulatory regime can continue to be governed by that older regime. Regulatory dualism is distinguished from grandfathering in that the reformist regime is not mandatory for newly regulated firms; both the established and the reformist regimes remain available to both old and new firms. In contrast, grandfathering imposes a mandatory transition process from old to new rules.

Efficiency, including the value of legal predictability and stability, may justify grandfathering regardless of political constraints – particularly where firms have made long-term specific investments in reliance on prior law.¹⁷⁰ That is, grandfathering can serve as a form of what we described, in the Introduction, as regulatory diversification. Nonetheless, grandfathering is also often employed to circumvent the Olson problem. In corporate law, grandfathering is particularly common with respect to statutory changes affecting voting rights. Brazil resorted to grandfathering in its 2001 legal reforms by exempting existing companies when it reduced the statutory ceiling for the issuance of non-voting preferred shares from two thirds to one half of a firm's total capital.¹⁷¹ The U.S. listing rules that substituted for SEC rule 19c-4, barring potentially abusive dual class recapitalizations, also included a broad grandfather exemption for companies with existing dual capital structures.¹⁷² Similarly, New York's 1997 amendment to its Business Corporation Law made a number of changes in voting rules, but specified that the new rules applied immediately only to companies incorporated in New York after the effective date of the statute; old companies remained largely unaffected unless they affirmatively opted into the new regime.¹⁷³

¹⁷⁰ Steven Shavell, *On Optimal Legal Change, Past Behavior, and Grandfathering*, 37 J. LEGAL STUD. 37 (2008) (arguing that grandfathering is efficient when switching costs are high).

¹⁷¹ Despite their grandfathering protection for old public firms, the new statutory rules were rather timid, and were later dwarfed by the Novo Mercado requirements banning non-voting shares altogether. See Parts I(a) and (b) *supra*.

¹⁷² See, e.g., NYSE Listed Company Manual, § 313.00.

¹⁷³ Renee L. Crean, *Recent Development in New York Law*, 72 ST. JOHN'S L. REV. 695, 700 (1998).

Even though grandfathering may be useful as an ancillary technique to circumvent the Olson problem in modest legal reforms, it is difficult to find situations where it has been used to provide an entirely new regulatory scheme. In this important respect it differs markedly from regulatory dualism, which functions to provide ongoing parallel systems, as in the corporate governance regimes we examined in previous Parts.

There are several reasons for this disparity. First is the updating problem. If only a declining number of established firms are affected by the older regulatory regime, both the incentive and the opportunity may be lacking to make adjustments in that regime to maintain its efficiency even in serving the needs of the firms it covers. Indeed, any changes in the established regime may be questionable as inconsistent with the commitment to stasis involved in grandfathering. A second problem with grandfathering involves its apparent legitimacy. By its nature – indeed, by its very name – a grandfathered regime has an air of being antiquated, and increasingly so over time. The use of grandfathering, as opposed to regulatory dualism, reflects a fundamentally different assessment of the value of the two regulatory regimes. Grandfathering eliminates the prior regulatory structure in favor of one whose mandatory character going forward makes a clear statement of relative efficiency; as a limited concession, firms that have specific investments in the old regime may continue it. In contrast, regulatory dualism is at least facially agnostic with respect to the relative values of the business arrangements that each regime sanctions. As a matter of politics, this is a point of particular significance in dealing with the Olson problem.

Third, concerns about disparate treatment before the law can generate hostility towards grandfathering.¹⁷⁴ Regulatory dualism has the advantage that both the old and the new regime remain available to all. And finally, grandfathering, by providing new rules that are mandatory only for new firms, may be particularly subject to opportunistic manipulation to the further benefit of the established firms. In particular, established firms that are protected by the grandfathered rules may use their influence to distort the rules applicable to new firms, imposing on the new firms onerous and inefficient statutory requirements that, though nominally protective of the public (such as noncontrolling shareholders), in fact erect barriers to entry that shield the established firms from competition.

B. Menus

Statutory menus,¹⁷⁵ which offer both old and new firms a choice between two or more alternative rules governing a particular issue within a comprehensive scheme of regulation, can embody a form of regulatory dualism that is directed at the Olson problem if, as is often the case, the menu items include both established and reformist rules.

Japan conspicuously employed this strategy when it reengineered its corporate governance system in 2002. The amendments to the Commercial Code gave firms the opportunity to adopt a new, Anglo-American corporate governance regime on an opt-in

¹⁷⁴ CARVALHOSA, *supra* note 32 (arguing that the 2001 reform's different treatment of old and new Brazilian firms with respect to preferred shares is inequitable and unconstitutional).

¹⁷⁵ On menus in general, particularly in the context of corporate law, see Ian Ayres, *Menus Matter*, 73 U. CHI. L. REV. 3 (2006); Yair Listokin, *What Do Corporate Default Rules and Menus Do? An Empirical Examination*, <http://ssrn.com/abstract=924578> (2007).

basis.¹⁷⁶ In particular, firms could choose between the traditional Japanese system based on a board of auditors (*kansayaku secchi kaisha*) and a U.S.-style board-centered corporate governance regime (*iinkai secchi*). The legislature's decision to offer a choice, rather than a mandatory shift to a board-centered system as originally proposed, was a response to opposition from traditionalists both within and outside the government who objected to the imposition of a new governance system. Seven years after the reform, 112 publicly traded firms had taken advantage of the option to embrace the new system.¹⁷⁷

Another familiar example of the menu approach in the U.S. is section 102(b)(7) of the Delaware General Corporation Law.¹⁷⁸ This section effectively gave corporations a choice between two alternative liability regimes for violations of corporate directors' duty of care: a very low "reform" standard that virtually eliminates director personal liability for duty of care violations, and a potentially higher existing standard – the Delaware Supreme Court's holding in *Smith v. Van Gorkom*,¹⁷⁹ in response to which Section 102(b)(7) was enacted.¹⁸⁰

The statutory menu approach to regulatory dualism has the weakness, however, that it seeks to embed the reformist regime in the same statute that provides the established regime. The result is that the reformist regime, in all its details, must be accepted by the political forces that have long shielded the established regime. In the most successful approaches to regulatory dualism, in contrast, the reformist regime has been created and maintained by an institution – such as a stock exchange or another federated state – that is to some degree independent of the political forces supporting the established regime. We consider this question of institutional choice more carefully below.¹⁸¹

C. Default Rules

A more liberal approach than menus to the creation of alternative regulatory regimes is to delegate to the regulated firms themselves the task of designing the reformist (or, in some cases, the established) regime. This is done commonly in corporate law by enacting portions of the established regime in the form of default rules from which firms are free to deviate by specific alternative provisions in their charters.

¹⁷⁶ See Ronald J. Gilson & Curtis J. Milhaupt, *Choice as Regulatory Reform: The Case of Japanese Corporate Governance*, 53 AM. J. COMP. L. 343 (2005).

¹⁷⁷ Robert N. Eberhart, *Comparative Governance Systems and Firm Value: Empirical Evidence from Japan's Natural Experiment*, Working Paper, Walter H. Shorenstein Asia-Pacific Research Center, Stanford University (Aug. 2009). Companies that adopted the *iinkai secchi* structure initially improved their performance compared to industry competitors that retained the traditional governance structure. *Id.* This advantage diminished after two years, illustrating the existence of an informal item on the menu. Because the traditional system was sufficiently malleable to allow the adoption of some elements of the *iinkai secchi* structure without a statutory change, informal selection of an intermediate combination of attributes may have reduced the performance differences between the two regulatory regimes. *Id.* Thus, depending on the context, informal alternatives may be nested within a menu structure's formal choices.

¹⁷⁸ Del Code Ann. tit. 8, § 102(b)(7).

¹⁷⁹ 488 A.2d 858 (Del. Supr., 1985).

¹⁸⁰ As is widely understood, Delaware corporations had no difficulty making the choice – virtually every company adopted the contemplated charter amendment.

¹⁸¹ See Part V *infra*.

This approach has the advantage of permitting reformist regimes that are tailored to the needs of each individual firm. It also does not require the creation of a separate regulatory body to administer the reformist regime.

But simple default rules suffer from three basic weaknesses as a dualist response to the Olson problem. The first is that privately-contracted alternatives to the established regime do not bring with them an enforcement mechanism apart from the general modes of contract enforcement. The second is that the alternatives to those defaults that individual firms choose may not be well coordinated, resulting in a proliferation of alternatives that undercuts network effects in signaling, interpretation, and (contractual) enforcement. And the third, and arguably most serious, weakness of the simple default rule approach is that it is not a form of *regulatory* dualism. That is, it does not provide for a regulatory institution outside the firm that provides the reformist rules, but instead leaves those rules to be created by contract among the firm's stakeholders. And the weakness of contractual rules lies in their amendability, or lack of it. If the special contractual constraints are subject to easy amendment without unanimous assent of the affected stakeholders, then there is room for opportunistic changes to the detriment of one group or another. On the other hand, if all affected stakeholders are given a veto over amendment of the customized rules, those rules risk becoming outdated and costly as the firm and its environment change over the many years of its expected lifetime. A third-party regulatory institution – whether legislature, court, or agency – can provide, in effect, “delegated contracting,” altering the rules of internal corporate governance for firms over time as, and only as, alterations are needed.¹⁸² These concerns arguably go far in explaining the remarkable fact that publicly-traded corporations in the U.S. rarely deviate from default statutory law in their charters, despite their great freedom to do so.¹⁸³ Paradoxically, contract terms fare worse than legal rules in adapting to new conditions, as the experience with Frankfurt's Neuer Markt shows clearly.

D. Grand Bargains

By definition, regulatory dualism is a second-best solution that allows policymakers to circumvent the blocking power of incumbents to sweeping, if efficient, legal reforms. But, at least in theory, regulatory dualism is not the only possible strategy to address the Olson problem. Simply buying off the existing controlling shareholders prior to legal reforms is another alternative. For example, in exchange for accepting sweeping mandatory reform of the rights of noncontrolling shareholders in all corporations, both old and new, controlling shareholders in established firms might be given a time-limited right to purchase all of their companies' publicly-traded shares at low prices reflecting the weak rights of shareholders under pre-existing law. Those purchases might be aided by government financing, which could be repaid when the shares were subsequently resold on the public markets, after the adoption of the legal reforms, at the higher prices those reforms would induce.

This approach was, in fact, partially employed in Brazil, even if inadvertently. In permitting controlling shareholders to take their companies private in abusive

¹⁸² Henry Hansmann, *Corporation and Contract*, 8 AM. L. & ECON. REV. 1 (2006).

¹⁸³ *Id.* See also, Robert Daines & Michael Klausner, *Do IPO Charters Maximize Firm Value? Antitakeover Protection in IPOs*, 17 J. L. ECON. & ORG. 83 (2001).

transactions in the late 1990s, Brazil effectively reduced the number of actors having a vested interest in opposing subsequent legal reforms to increase minority rights.¹⁸⁴

However, the grand bargain approach also has its limits. In the Brazilian case, it served to hurt investor confidence in local capital markets but did not sufficiently reduce the number and political clout of existing publicly-traded firms to enable comprehensive reform and render regulatory dualism redundant. But more ambitious and explicit attempts to bribe the existing elites to accept legal reforms – such as government bridge loans for exploitative share repurchases, as described above – are unlikely to be politically feasible.

V. Who Provides the Reformist Regime?

As the preceding discussion of default rules suggests, an effective system of regulatory dualism requires that the reformist regime be provided by a regulatory authority with some independence from the regulated – and especially the established – firms. We turn now to the potential sources of that authority.

A. The Problem of a Unitary Lawmaker

In the menu approach to regulatory dualism, a single lawmaker – generally a legislature – establishes and maintains each of the alternative regulatory regimes. As a solution to the Olson problem, this approach has the obvious limitation that establishment of a reformist regime must confront the same interest group pressures that support the established regime; in comparison, the stock exchanges in the cases of Brazil and Germany were motivated by their own profit both to open the exchange to a new class of listing companies and to accomplish this without alienating the existing traditional companies. Even if elite interests cannot entirely block reform through a new legislative menu, they may succeed in limiting the menu to meager choices. To be sure, a single legislature might find it easiest to accommodate both the establishment and reformist political forces by establishing dual regimes rather than, for example, seeking to develop a single compromise regime. The recent Japanese corporate governance reforms are an example. But, though they aroused intense political opposition,¹⁸⁵ those reforms are less than earthshaking, representing only a modest deviation from Japan's managerialist system of corporate governance, and they have been taken up by only very few companies. And Delaware's menu approach to directors' duty of care has collapsed into near meaninglessness, as firms have almost uniformly adopted exculpatory provisions as permitted by 102(b)(7), while the courts have both retreated from what momentarily seemed a higher standard of care and expanded the content of the duty of loyalty (which is not subject to exculpation under 102(b)(7)) to encompass some obligations previously covered by the duty of care,¹⁸⁶ hence arguably removing most of the difference between the old and the new regime.¹⁸⁷

¹⁸⁴ See notes 31-34 *supra* and accompanying text.

¹⁸⁵ See Gilson & Milhaupt, *supra* note 176; Eberhart, *supra* note 177.

¹⁸⁶ In *Stone v. Ritter*, 911 A.2d 362 (Del. Supr., 2006), the Delaware Supreme Court held that the duty of oversight established under *In re Caremark International Inc. Derivative Litigation*, 698 A.2d 959 (Del. Ch. 1996), a classical duty of care case, could give rise to a violation of the duty of loyalty if the directors

With perhaps the exception of the Japanese case, it is in fact difficult to find an example of a single jurisdiction that offers two markedly alternative systems of corporate law, one established and one reformist. In theory, it should be perfectly possible. Delaware, for example, might attract to itself even more of the corporate charter business in the United States if it were to offer, in addition to its current mildly reformist corporation statute, an alternative corporation statute that is much more protective of the interests of managers and controlling shareholders.¹⁸⁸ Alternatively, states with corporation statutes that currently cater to managers and controlling shareholders could adopt, in addition, an alternative statute that is as or more protective of noncontrolling shareholders as Delaware's corporation law. But – aside from an arguably quixotic recent effort in North Dakota¹⁸⁹ – we don't see this. Strong forms of regulatory dualism seem to require that the alternative regulatory regimes be promulgated and maintained by separate authorities that are at least to some degree subject to different political pressures. Each of the prominent examples of regulatory dualism we have examined in earlier sections of this article has this character. We proceed to examine several approaches of this type, exhibiting increasing degrees of political isolation for the reformist regime.

B. Dualism via Private Regulatory Organizations

One alternative is for the reformist regime to be provided by a third-party private or semi-private organization that is relatively independent of the governmental institutions that provide the established regime. Both Brazil's Novo Mercado and Germany's Neuer Markt are examples of this approach, in which a stock exchange acts as

failed to discharge their fiduciary obligations in good faith). See Claire A. Hill & Brett H. McDonnell, *Stone v. Ritter and the Expanding Duty of Loyalty*, 76 FORDHAM L. REV. 1769 (2007) (defending the use of the duty of good faith to enlarge the scope of director liability for breach of the duty of loyalty); Stephen M. Bainbridge et al., *The Convergence of Good Faith and Oversight*, 55 UCLA L. REV. 559, 597 (2008) (attributing the Delaware Supreme Court's decision in *Stone* as "another case in which section 102(b)(7) seems to be driving the analysis").

¹⁸⁷ For some perspective on the tortured evolution of the duty of care under Delaware law, see William T. Allen, Jack B. Jacobs & Leo E. Strine, *Realigning the Standard of Review of Director Due Care with Delaware Public Policy: A Critique of Van Gorkom and Its Progeny as a Standard of Review Problem*, 96 NW. U. L. REV. 449 (2002).

¹⁸⁸ In a limited fashion, Delaware has provided a menu that allows reducing fiduciary duty to the obligation of good faith and fair dealing, but this is limited to alternative forms of corporations, rather than traditional corporations. Some of these forms, however, like master limited partnerships, are suitable for public ownership. See JESSE CHOPER, JOHN C. COFFEE & RONALD J. GILSON, CASES AND MATERIALS ON CORPORATIONS C.7 (2008) (describing development of the obligation of good faith and fair dealing as an alternative to fiduciary duty). Daines and Klausner's showing that Delaware corporations going public typically have plain vanilla charters even though the statute allows for substantial variation, suggests that Delaware understands that there is little market for higher standards. Daines & Klausner, *supra* note 183.

¹⁸⁹ Under a 2007 reform to the North Dakota Publicly Traded Corporations Act promoted by corporate governance advocates, firms incorporated under North Dakota law after July 1, 2007 can insert a provision in their articles of incorporation that subjects them to a bundle of strong shareholder rights, including majority voting for directors, advisory shareholder votes on executive compensation, the ability to propose board nominees on the company's proxy statement, and reimbursement of proxy expenses incurred by insurgent shareholders. *The North Dakota Publicly Traded Corporations Act*, 2007 N.D. Session Laws, ch. 102, 497-517 (Apr. 10, 2007). Since firms already incorporated in North Dakota before 2007 are presumably free to reincorporate and thereby take advantage of the new shareholder-oriented provisions, both the established and the reformist regimes are available to both old and new firms, making this a straightforward example of regulatory dualism.

the regulatory body. Following a pattern typical in the industry, both of these exchanges were, at the time the new market reforms were adopted, mutual organizations controlled by the brokers and dealers who had trading privileges on the exchanges, and then were converted to investor-owned firms. Under both forms of ownership, the returns to those who control the exchanges is maximized by maximizing the volume of securities that are traded and the prices at which those securities trade. This provides an incentive, in turn, for the exchanges to establish rules of corporate governance that are relatively favorable toward noncontrolling shareholders. And since there are economies of scale and scope in stock exchanges, the exchanges typically have substantial market power over companies whose stocks the exchanges list for trading. There is a limit to that market power, however, so that if the exchanges are too aggressive in imposing strict rules of corporate governance upon listed firms, at some point they will start to lose listings as firms seek other venues where their shares can trade. Additionally, the particular regulatory structure in which a stock exchange operates will constrain their freedom of action. For example, both in the U.S. and in Brazil, the requirement that exchanges secure SEC (or, in Brazil's case, CVM) approval of changes in their rules provides a tangency between private and public action that creates an opportunity for the Olson problem to inhibit reform by an exchange more directly.

1. Enforcement

Private organizations such as stock exchanges are handicapped by lacking the enforcement tools – and in particular the punishments – available to governmental bodies. Nonetheless, private organizations can deploy some enforcement tools that go beyond mere contract enforcement. The new markets in Brazil and Frankfurt both had the power – granted contractually in return for listing privileges – to impose fines upon firms that deviated from their rules. And ultimately the exchanges could threaten to delist a deviant firm. As we have seen, however, the Frankfurt Neuer Markt had very lenient fines and, even so, rarely imposed them – perhaps because it was afraid of discouraging firms from listing on the exchange.

Weak enforcement contributed to the widespread scandals that undermined the credibility of the Frankfurt Neuer Markt. Brazil's Novo Mercado has so far escaped such problems. Whether its enforcement powers will prove, in the long run, adequate to support its rigorous listing standards – and the extent to which the CVM will continue to play an active role in investor protection – remain to be seen.

2. Network Efficiencies

Unlike individual agreements, but similarly to legal rules, the delegated contracting provided by a private regulatory organization serves as a focal point for the coordination of investor expectations, so that shareholders of any individual member firm acquire an interest in the reputation and reliability of the entire segment. An instance of investor expropriation at any given listed firm will affect an interest group well beyond that firm's shareholders. Consequently, as the number of listed firms and shareholders relying on these new standards increases, so do its apparent legitimacy and the probability of enforcement of its provisions.

But network effects can also undermine a private regulatory organization. A main reason for the failure of the Neuer Markt in Germany was also a main driving force of its initial success – that is, its focus on high-tech companies. As the dot.com bubble burst in the late 1990s, a plunge in stock prices, accompanied by a series of scandals involving member firms, eroded the credibility of the entire segment. In such circumstances, a more diversified private regulatory organization such as Brazil's Novo Mercado (which is open to any firm willing to comply with its requirements) is more likely to remain viable.

3. *Revision of Regulations*

Even if enforcement deficiencies can be overcome, the main challenge to establishing a reformist regulatory regime through a private regulatory organization is, as we have suggested above, adaptation over time. The ability to adapt to new circumstances is key to protecting noncontrolling shareholders from an ever-growing spectrum of expropriation opportunities cleverly devised by sophisticated advisors; to have a comparative advantage, the private organization must avoid the petrification inherent in public regulation. The inability of Frankfurt's Neuer Markt to remodel its requirements in a moment of crisis – a consequence, in important part, of judicial interpretation of those requirements as contractual in character – provides a cautionary tale for similar institutions, such as Brazil's Novo Mercado.

The ability of the São Paulo Stock Exchange to revise the Novo Mercado's listing rules over time is constrained by the segment's institutional design. Unlike its predecessor Neuer Markt, the Novo Mercado explicitly requires the tacit approval of at least 2/3 of listed firms to any changes in the listing standards. Subject to CVM approval, revisions of the listing rules are binding upon all Novo Mercado firms unless 1/3 of them expressly oppose the changes during a restricted hearing required under the Novo Mercado regulations.¹⁹⁰ Although this qualified majority approval condition, together with other features of the Novo Mercado, should prevent the courts from treating the Novo Mercado rules as contracts unalterable without the unanimous consent of the regulated firms, the result may nonetheless be substantial rigidity in the system. The incentives of firms to commit to stringent corporate governance requirements, which are most powerful at the time of their IPO and entry to the Novo Mercado, can easily fade over time, especially when the firm does not plan a new capital issuance in the near future. Listed firms will have an incentive to act opportunistically when voting on stricter regulations, with the consequence that the frequency and quality of amendments may be suboptimal from a shareholder value perspective.

The Novo Mercado reform system is currently being tested as the São Paulo Stock Exchange is, for the second time, proposing major changes to the listing standards. So far, the Novo Mercado has an overall positive track record in amending its regulations. The listed firms successfully approved changes to the premium listing standards in late 2005. A few of the changes rendered the listing standards more permissive, but most of them were stricter in terms of investor protection than the

¹⁹⁰ Novo Mercado Listing Rules, Section 14.2.

original requirements.¹⁹¹ Since 2005, however, the number of Novo Mercado firms has risen more than five-fold, which might obstruct further substantial revisions.¹⁹² Indeed, the reform process is already running behind schedule, and BM&F Bovespa representatives have signaled that the large number and heterogeneity of Novo Mercado firms is a hurdle to sweeping changes to the listing standards. The results remain to be seen.

4. *Political Independence*

Reform through stock exchange listing standards has the advantage that it does not depend on affirmative legislative action. Indeed, its contractual character may help insulate it from political interference – an important safeguard given the track records of developing countries (including Brazil) in reversing statutory investor protections. At the same time, it remains within the power of the legislature to rein in the exchange’s reforms if they should go too far in threatening established interests and, as we have seen, the CVM retains a veto over amendments to the listing standards if they are to apply to companies voting against their adoption.

An important factor here is that the reformist regime itself will have an effect on the character of those established interests, for better or for worse. As we have noted, firms that succeed in attracting capital and growing by virtue of the efficient access to capital markets afforded them by rigorous private-exchange listing standards may, once successful, find that those standards are more helpful to their potential competitors than to themselves, and hence join other established firms in opposing the updating of the standards, or even their continued existence. In short, yesterday’s economic insurgents may become today’s entrenched elite, re-creating the Olson problem.¹⁹³

Conversely, and more hopefully, the firms that succeed by virtue of the new standards may add to the political constituency supporting reform, as will the economic growth that is expected to come from reform. As capital markets become larger and more efficient, the number and size of the actors with a stake in their success – which include not only new companies and their investors, but also corporate lawyers, accountants, investment bankers, and corporate governance consultants – grows as well.¹⁹⁴ And as the general population benefits from economic growth, reform may gain support from broader constituencies. As a consequence, the creation of a privately-organized dual regulatory regime may lead to broader reform through the legislative process, allowing a jurisdiction to break with the path-dependent nature of corporate law

¹⁹¹ Among other things, the stricter amendments, effective as of January 2006, required Novo Mercado firms to have at least 20% of independent directors and to provide monthly disclosure of transaction with company shares by employees, managers and directors.

¹⁹² See Part II(b) *supra*.

¹⁹³ George Orwell highlighted the problem in the closing scene in *Animal Farm*; it became difficult to tell the pigs from the farmers. GEORGE ORWELL, *ANIMAL FARM* c. 10 (1945).

¹⁹⁴ See, e.g., John C. Coffee, Jr., *The Rise of Dispersed Ownership: The Roles of Law and the State in the Separation of Ownership and Control*, 111 YALE L.J. 1 (2001) (noting the reverse causality between capital markets developments and investor protection laws, as “strong markets do create a demand for stronger legal rules”).

rules as an obstacle to capital markets development.¹⁹⁵ In effect, successful reform catalyzes further reform.

Brazil has in fact seen positive legal and regulatory changes following the success of the Novo Mercado, which plausibly were reinforced by Brazil's overall favorable economic performance during this period. These important changes apply both to old and new companies, and came rather sooner than the incumbent firms might have anticipated when the Novo Mercado experiment was launched in 2000. The Corporations Law was amended once again in 2007 to force convergence of the relatively lax local accounting standards with International Accounting Principles.¹⁹⁶ Brazil's CVM has also increasingly advanced the investor protection agenda. Among other things, it issued an opinion suggesting that the discharge of directors' fiduciary duties in freeze-out mergers may require the formation of a special committee of independent directors and majority-of-the-minority approval requirements.¹⁹⁷ In other words, the controlling shareholder was forced to give up its premium, just the kind of wealth transfer the fear of which contributed to the Olson problem in the first place. The Commission has recently showed that its guidelines have teeth when it questioned the procedures followed by the special committees to appraise the appropriate conversion ratio in a merger transaction; following the CVM's negative reaction, the merging parties decided to abandon the initially proposed discount to preferred shares, which were treated on a par with common shares in connection with the transaction.¹⁹⁸ Moreover, the CVM has recently revised its disclosure regulations, which are now stricter than the Novo Mercado standards and are expected to mitigate the existing lack of transparency about executive compensation in Brazil.¹⁹⁹ Likewise, since the launch of the Neuer Markt, and especially after its collapse, Germany has enacted various pieces of investor protection legislation.

Regulatory dualism can thus serve as an initially conservative, but ultimately subversive, form of legal change. And as the U.S. experience attests, full convergence to the new regime is not crucial. The goal of the reformist regime is to support economic development by allowing firms that do not yet have access to financing to obtain it. Since the established elites already have financing options, the efficiency consequences of allowing them to keep the old regime for an indefinite time are of a lesser magnitude than they would be in other fields, such as in the case of grandfathering of environmental regulations. In fact, that old firms internalize most of the costs associated with the old corporate regime may be one reason why regulatory dualism is more widely employed in contractual areas of the law than in other contexts.

Recognizing the potential for the success of a regulatory dualism strategy to catalyze further reform and thereby accelerate the shifts in wealth and political power that

¹⁹⁵ Bebchuk & Roe, *supra* note 78.

¹⁹⁶ Federal Law 11,638/2007. Prior to the reform, Bovespa's premium listing segments required the adoption of either IAS or U.S. GAAP while old firms listed in the traditional generally followed the laxer Brazilian GAAP.

¹⁹⁷ CVM Advisory Opinion 35/2008.

¹⁹⁸ Yuki Yokoi, *Happy Preferred Shareholders: Under CVM Pressure, Aracruz PN and ON Get Equal Treatment in VCP Merger*, 7 REVISTA CAPITAL ABERTO (2009) (describing the process leading to the merger of Aracruz into Votorantim Papel e Celulose in September of 2009). The new company, Fibria, the world's largest pulp and paper company, is expected to migrate to the Novo Mercado. *Id.*

¹⁹⁹ CVM Instruction 480/2009.

regulatory dualism was intended to moderate raises again the question of why elites did not block reform in the first place. The outcome of the elite's decision calculus²⁰⁰ is sensitive to a number of variables in addition to the slope of the curve of future reforms and the resulting present value of existing power. For example, those variables interact with the cost of blocking even moderate reform, including the potential for political backlash in the form of comprehensive reform. Of course, the values of these variables are determined by local conditions, with the result that even if a regulatory dualism strategy is the best way to address the Olson problem in a particular country, whether such reform be adopted and succeed depends on the parameter values determined by local conditions. Our analysis identifies the value of a dual regulatory strategy in the face of the Olson problem. It does not predict the outcome for a particular country.

C. Regulatory Dualism across Federated States

Despite the foregoing, a private regulatory organization within a single state ultimately has only as much autonomy as the government of the state gives it. An alternative form of regulatory dualism that avoids this problem, to a greater or lesser extent, is to have the reformist regime provided by a politically independent foreign government. We have examined two examples of this approach – the U.S. and the EU – in the context of a federated union of states. Parallel states within a federal system potentially offer not only a better insulated, but also a more stable and durable, system of regulatory dualism than is available with a private regulatory organization within a single state. In the U.S., for example, regulatory dualism in corporate chartering has been maintained for over a century.

The presence of an overarching federal government provides two obvious advantages to this form of regulatory dualism. First, the federal government can force the individual states to permit local firms to elect the regulatory regimes of other states. Second, the federal government can mitigate the pathologies of predatory dualism. In particular, they can put a floor on regulatory standards, helping to assure that none of the member states provides a system of regulation that, if chosen by residents of other member states, could impose large external costs upon those states. The U.S. federal government has played this role conspicuously in corporate law by either federalizing, or threatening to federalize, significant elements of corporate and securities law when the principal dual regulatory regime, that of Delaware, has permitted excessive opportunism on the part of controlling shareholders or corporate managers.²⁰¹ The extent to which the federal level effectively serves this purpose is contingent both on the structure of a particular federal system and on the politics of the particular circumstance. For example, we have seen that regulatory dualism worked well within the U.S. federal structure with respect to corporate chartering, but could not be successfully established for bank chartering.

D. Regulatory Dualism across Independent States

Although federalism can provide a protective context for regulatory dualism, that strategy, as we have seen, can also be implemented across fully independent states. In

²⁰⁰ See TAN 5, *supra*.

²⁰¹ See Roe, *supra* note 144.

Brazil, prior to the advent of the Novo Mercado, firms seeking access to the capital markets on attractive terms used the United States, with its rigorous securities laws, as their reformist dual regime. This was presumably tolerated by the Brazilian government because it provided a safety valve that released some of the strongest pressures for corporate and capital markets reform in Brazil itself, while at the same time the costs of listing in the U.S. were high enough to limit the number of firms that would take advantage of that opportunity.

The creation of the Novo Mercado has spurred the creation and growth of corporations in Brazil well beyond what had been achieved simply through access to listings in the U.S., suggesting the superiority, at present, of the former type of regulatory dualism. To be sure, advances in transportation and communication technology are likely to continue to reduce the costs of foreign securities listings and foreign incorporation, making the latter approach increasingly attractive. Yet governments like that of the U.S. have little incentive at present to devote their limited enforcement resources to policing foreign firms, whose transgressions they commonly ignore.²⁰² Consequently, for the foreseeable future, the Brazilian approach to the regulatory dualism strategy, if it can be managed, may well remain superior to relying on other nations for the reformist regime.

VI. Other Applications of Regulatory Dualism

We have focused here on regulatory dualism as a solution to the Olson problem in corporate and capital markets law. This is not, however, the only field in which regulatory dualism offers a helpful antidote to the Olson problem.

General commercial contracting offers another example. Even within the United States, where the law of commercial contracts is relatively uniform (though still clearly subject to the pressure of established interest groups²⁰³), New York has emerged as the Delaware of contract law. New York contract law and New York courts are chosen over those of other states, through choice of law and choice of forum clauses, in a striking proportion of important commercial contracts.²⁰⁴ Outside of the United States, in turn, associations of commercial arbitrators provide a reformist dual regime of contract adjudication for parties from countries with poorly developed law or inefficient courts. And, as a much bolder deployment of regulatory dualism to mitigate the Olson problem in commercial contracting, it has been proposed that, as a solution to the extreme inefficiency and corruption of the courts in many developing (and some developed) countries, merchants who are parties to contracts concerning even purely intra-state transactions be given broad freedom to choose both foreign law and foreign courts to govern their disputes, rather than making efficiency in contracting await the far distant

²⁰² See Shnitser, *supra* note 41. This is particularly true when the foreign listed company has few assets in the United States and therefore is practically immune from private enforcement of the securities law.

²⁰³ Alan Schwartz & Robert E. Scott, *The Political Economy of Private Legislatures*, 143 U. PA. L. REV. 595 (1995).

²⁰⁴ See Theodore Eisenberg & Geoffrey P. Miller, *The Flight from Arbitration: An Empirical Study of Ex Ante Arbitration Clauses in Publicly-Held Companies*, 56 DEPAUL L. REV. 335 (2007).

day when their domestic legal system is finally reformed.²⁰⁵ A similarly motivated proposal suggests the creation of regional commercial courts as a barrier to existing national elites protecting their interests at the expense of growth through influencing local courts.²⁰⁶

We will not further explore here these and other applications of regulatory dualism. Much of what we have said about regulatory dualism as a reform strategy in the context of corporate and capital market law, however, extends to applications of the strategy in other realms as well.

VII. Conclusion: The Promise of Regulatory Dualism

The evolution of corporate law reflects a struggle between allocation and distribution – the conflict presented by reforms that increase production at the expense of making the existing economic and political elites worse off. Regulatory dualism in corporate governance serves to mediate that struggle, providing protection to entrenched owners and managers for the sake of reducing their opposition to the reforms needed to develop an efficient system for financing and managing at least a portion of the corporate sector. Brazil’s current experiment with a “New Market” for corporate share listings offers a textbook example of this strategy. But regulatory dualism as a strategy for capital markets reform is not unique to Brazil, nor is it suited just to developing countries. Indeed, the United States has a long and successful record of regulatory dualism in corporate law, and the European Union seems now to have set out on the same path. Germany’s conspicuous recent failure with this strategy in its Neuer Market emphasizes the need for care, effective enforcement, and – as with all human affairs – luck in its deployment. But with more systematic attention to the means of deploying the strategy, and more attention to the political forces whose opposition to reform it is intended to address, the scope for its successful application may continue to expand. And, as we have only hinted here, regulatory dualism is a development strategy that has application well beyond the problems of corporate and capital market law upon which we have focused.

²⁰⁵ Dammann & Hansmann, *supra* note 67. As these authors point out, it is not clear to what extent such a system of extraterritorial contract law would operate as regulatory competition, and to what extent as regulatory dualism.

²⁰⁶ Ronald J. Gilson & Curtis Milhaupt, *Economically Benevolent Dictators: Lessons for Developing Democracies* (working paper, Dec. 2009).

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